



MSME: Central Office

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MSME Policy 2022-2023

1. Introduction:

- 1.1 Micro, Small and Medium Enterprise (MSME) sector has emerged as a very important sector of the Indian economy, contributing significantly to employment generation, innovation, exports, and inclusive growth of the economy. The MSME sector also contributes in a significant way to the growth of the Indian economy with its vast network. In terms of Annual report of Ministry of MSME: 2020-2021, India's MSME Sector comprises of 633.88 lakh units, of which 51% are Rural MSMEs and 49% are Urban MSMEs. MSME sector has created about 11.10 crore jobs in the country, of which 3.60 crore are in manufacturing segment, 3.87 crore in Trade segment and 3.63 crore in other services. The MSMEs are widening their domain across sectors of the economy, producing diverse range of products and services to meet demands of domestic as well as global markets.
- 1.2 In order to enable identification and facilitate development of MSMEs, Government of India has enacted the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006. The MSMED Act, 2006, was enacted to provide enabling policy environment for promotion and development of the sector by way of defining MSMEs, putting in place a framework for developing and enhancing competitiveness of the MSME enterprises, ensuring flow of credit to the sector and paving the way for preference in Government procurement to products and services of the MSEs, address the issue of delayed payments, etc.

2. MSME Policy:

2.1 Background

Bank has therefore designed a separate document - MSME Policy - to have a standardized approach towards the MSMEs and have a reference material to one and all dealing with MSME matters.

The MSME Policy is a formal policy document mentioning therein the Bank's role & approach for meeting the need of the MSME clients. Lending to MSMEs being an integral part of MSMED Act and priority sector lending guidelines of RBI is also discussed in the policy, wherever applicable.

2.2 Objectives:-

2.2.1 The MSME Policy is based on the following principles:

- i. The Policy aims at enlarging the MSME client base through aggressive credit marketing.
- ii. The Policy addresses the credit needs of the existing MSME clients for judicious and prompt credit decision.
- iii. The Policy describes the Bank's approach towards credit appraisal skills and strategies on the one hand and flexibility and innovation on the other hand.
- iv. The Policy document attempts to ensure that the socio-economic obligations of the Bank are fully met.
- v. The Policy endeavors to ensure continuous growth of loan assets while keeping those assets performing and standard.
- vi. The Policy aims at a comprehensive Management Information System based on a reliable data base and endeavors to mitigate and reduce risk associated with the lending by fine tuning systems and controls.
- vii. The Policy document ensures compliance of all the directives, guidelines issued by Government/Reserve Bank of India and other regulatory authorities on MSME credit matters. The Bank would follow the guidelines in all aspects issued from time to time by the authorities. MSME Department to communicate MSME related schemes/guidelines of Government Authorities issued from time to time for growth of MSME credit portfolio. In case of varying interpretations of these guidelines, the Bank will adopt reasonable interpretation as determined by MSME Department without deviating from the spirit behind the guidelines.
- viii. One of the basic objective of issuing this Policy is to create awareness among the Branch level functionaries regarding needs of the sector and guidelines issued thereof.

2.3 Scope

2.3.1 The Policy would deal with all MSME credit related matters such as fund based, non fund based and other forms of credit dispensation of MSME credit.

2.3.2 Since other credit related areas have been dealt in detail by the Loan Policy, these aspects are not covered in the MSME Policy to avoid duplication. Hence, the MSME Policy should be read along with the Loan Policy.

2.3.3 The Policy will cover all types of MSME customers such as Individuals, Proprietorship, Partnerships, Limited Liability Partnership, Association of persons, companies registered under Indian Companies Act, SHG, JLG, Co-operative Society etc.

2.3.4 This policy has been made in compliance with all RBI & extant regulatory guidelines issued till date.

2.3.5 The guidelines enumerated in the policy are applicable for all domestic branches.

2 MICRO, SMALL & MEDIUM ENTERPRISES DEVELOPMENT (MSMED) ACT (Along With Reserve Bank of India Guidelines & internal guidelines thereof)

3.1 The Government of India has enacted the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006 which was notified on June 16, 2006. With the enactment of MSMED Act, 2006, Services Sector is included in the definition of MSME apart from extending the scope to Medium Enterprises. The MSMED Act, 2006 has modified the definition of Micro, Small & Medium Enterprises engaged in manufacturing or production and providing or rendering services. Reserve Bank of India has notified the aforesaid changes which along with the definition of MSME, as per the Act have been adopted by the Bank for the purpose of credit.

3.1.1 Following significant changes have been introduced through MSMED Act, 2006.

- i. The word “Industry” has been replaced by “Enterprises”.
- ii. The word “Tiny” has been replaced by “Micro”.
- iii. The Services sector has been brought under the purview of MSMED Act, 2006.

3.1.2 Definition of Micro, Small & Medium Enterprises

Segment	Classification based on
Micro Enterprise	Where the investment in Plant & Machinery or Equipment does not exceed one crore rupees and turnover does not exceed five crore rupees.
Small Enterprise	Where the investment in Plant & Machinery or Equipment does not exceed ten crore rupees and turnover does not exceed fifty crore rupees.
Medium Enterprise	Where the investment in Plant & Machinery or Equipment does not exceed fifty crore rupees and turnover does not exceed two hundred and fifty crore rupees.

3.1.2.1 Becoming a micro, small or medium enterprise:

- Any person who intends to establish a micro, small or medium enterprise may file Udyam Registration online in the Udyam Registration portal, based on self-declaration with no requirement to upload documents, papers, certificates or proof.
- On registration, an enterprise (referred to as –Udyam II in the Udyam Registration portal) will be assigned a permanent identity number to be known as –Udyam Registration Number.
- An e-certificate, namely, –Udyam Registration Certificate shall be issued on completion of the registration process.

3.1.2.2 Composite criteria of investment and turnover for classification:

- i. A composite criterion of investment and turnover shall apply for classification of an enterprise as micro, small or medium.
- ii. If an enterprise crosses the ceiling limits specified for its present category in either of the two criteria of investment or turnover, it will cease to exist in that category and be placed in the next higher category but no enterprise shall be placed in the lower category unless it goes below the ceiling limits specified for its present category in both the criteria of investment as well as turnover.
- iii. All units with Goods and Services Tax Identification Number (GSTIN) listed against the same Permanent Account Number (PAN) shall be collectively treated as one enterprise and the turnover and investment figures for all of such entities shall be seen together and only the aggregate values will be considered for deciding the category as micro, small or medium enterprise.

3.1.2.3 Calculation of investment in plant and machinery or equipment

- i. The calculation of investment in plant and machinery or equipment will be linked to the Income Tax Return (ITR) of the previous years filed under the Income Tax Act, 1961.
- ii. In case of a new enterprise, where no prior ITR is available, the investment will be based on self-declaration of the promoter of the enterprise and such relaxation shall end after the 31st March of the financial year in which it files its first ITR.
- iii. The expression “plant and machinery or equipment” of the enterprise, shall have the same meaning as assigned to the plant and machinery in the Income Tax Rules, 1962 framed under the Income Tax Act, 1961 and shall include all tangible assets (other than land and building, furniture and fittings).
- iv. The purchase (invoice) value of a plant and machinery or equipment, whether purchased first hand or second hand, shall be taken into account excluding Goods and Services Tax (GST), on self-disclosure basis, if the enterprise is a new one without any ITR.
- v. The value of Plant and Machinery or Equipment for all purposes and for all the enterprises shall mean the **Written Down Value (WDV)** as at the end of the Financial Year as defined in the Income Tax Act.

3.1.2.4 Calculation of Turnover

- i. Exports of goods or services or both, shall be excluded while calculating the turnover of any enterprise whether micro, small or medium, for the purposes of classification.
- ii. Information as regards turnover and exports turnover for an enterprise shall be linked to the Income Tax Act or the Central Goods and Services Act (CGST Act) and the GSTIN.
- iii. The turnover related figures of such enterprise which do not have PAN is considered on self-declaration basis for a period up to 31st March, 2021 and thereafter, PAN and GSTIN is mandatory.

3.1.2.5 In case of an upward change in terms of investment in plant and machinery or equipment or turnover or both, and consequent re-classification, an enterprise will

maintain its prevailing status till expiry of one year from the close of the year of registration. In case of reverse-graduation of an enterprise, whether as a result of re-classification or due to actual changes in investment in plant and machinery or equipment or turnover or both, and whether the enterprise is registered under the Act or not, the enterprise will continue in its present category till the closure of the financial year and it will be given the benefit of the changed status only with effect from 1st April of the financial year following the year in which such change took place. The operational guidelines, including capturing of details in CBS are communicated separately.

- 3.1.2.6 During registration by MSMEs in Udyam Registration portal, data of Investment and Turnover either get auto filled/fetched from the Income Tax Department and GSTN (for those enterprises who have filed IT & GST returns) or is filed on a self-declaration basis (by those enterprises who are yet to file the IT & GST returns). The data which gets auto filled/fetched from the IT Department and GSTN is the data which had been finalized by the above respective departments after rectification, wherever necessary, for the relevant Financial Year.

In this regard, Ministry of MSME, Government of India (considering the timeline for filing the returns and the time required for further processing the return) has clarified that the following procedure has been adopted in relation to data (auto filled/fetched) in the Udyam Registration portal with effect from 01.07.2020 onwards:

Financial Year of Registration in Udyam Portal and Classification as MSMEs	Data (Investment, Turnover and Export) taken or to be taken from IT Department and GSTN from the relevant Financial Year
2020-21	2018-19
2021-22	2019-20
2022-23	2020-21

- 3.1.2.7 Ministry of MSME, GOI vide their office memorandum 5/2(2)/2021-E/P&G/Policy (E-19025) dated 02.07.2021 has notified addition of **Retail & Wholesale Trading** activity (NIC codes) under MSMED Act, 2006 and allowed such enterprises for registering on Udyam Registration portal. [JC 2672-2021 dt 06.07.2021]

4 MSME- PRIORITY SECTOR LENDING (Reserve Bank of India Guidelines & Internal Guidelines thereof)

- 4.2 Priority Sector Lending shall continue to be a chosen area of the Bank. Bank will endeavor to exceed the overall share of 40% of Adjusted Net Bank Credit (ANBC) or Credit Equivalent Amount of Off-Balance Sheet Exposure, whichever is higher as at the end of the previous year. Further the sub-target for lending to Micro Enterprises, under priority sector, is 7.5% of ANBC or Credit Equivalent Amount of Off-Balance Sheet Exposure, whichever is higher as at the end of the previous year.
- 4.3 Bank loans to Micro, Small and Medium Enterprises, for both manufacturing and service sectors are eligible to be classified under the priority sector as per the following norms:

4.3.1 Manufacturing Enterprises:

The Micro, Small and Medium Enterprises engaged in the manufacture or production of goods to any industry specified in the first schedule to the Industries (Development and Regulation) Act, 1951 and as notified by the Government from time to time. The manufacturing enterprises are defined in terms of investment in Plant & Machinery and Turnover. (It is clarified that all eligible manufacturing enterprises under MSME irrespective of size of credit exposure will be classified under priority sector.)

4.3.2 Service Enterprises:

All bank loans to MSMEs, engaged in providing or rendering of services as defined in terms of investment in equipment & turnover under MSMED Act, 2006, shall qualify under priority sector without any credit cap.

The classification of an MSME enterprise as manufacturing or service shall be as per extant regulatory and statutory guidelines.

4.3.3 Khadi & village Industries Sector (KVI)

All loans to units in the KVI sector will be eligible for classification under the sub-target of 7.5 percent prescribed for Micro Enterprises under priority sector.

4.3.4 Other finance to MSMEs:

4.3.4.1 Loans to entities involved in assisting the decentralized sector in the supply of inputs to and marketing of outputs of artisans, village and cottage industries.

4.3.4.2 Loans to co-operatives of producers in the decentralized sector viz. artisans, village and cottage industries.

4.3.4.3 Loans sanctioned to MFIs for on-lending to MSME sector as per the conditions specified by RBI.

4.3.4.4 Credit outstanding under General Credit Cards (including Artisan Credit Card, Laghu Udyami Card, Swarojgar Credit Card, and Weaver's Card etc. in existence and catering to the non-farm entrepreneurial credit needs of individuals).

4.3.4.5 Overdrafts extended up to Rs.10,000/- under Pradhan Mantri Jan Dhan Yojana (PMJDY) accounts will qualify as achievement of the target for lending to Micro Enterprises.

4.3.4.6 Outstanding deposits with SIDBI and MUDRA Ltd. on account of priority sector shortfall.

4.4 MSMED Act, 2006 does not provide for clubbing of investments of different enterprises set up by same person /company for the purpose of classification of industrial undertakings as Micro, Small & Medium Enterprises.

4.5 Investments in Securitized Assets, transfer of pool of loan assets through direct assignments / outright purchases and investments in Inter Bank Participation

Certificates (IBPCs) on risk sharing basis shall be eligible for classification under respective categories of priority sector provided the underlying assets are eligible to be categorized under the respective categories of priority sector as per RBI guidelines.

- 4.6 The outstanding Priority Sector lending certificates bought by the bank will be eligible for classification under respective categories of priority sector provided the assets are originated by banks, and are eligible to be classified as priority sector advances and fulfill the Reserve Bank of India guidelines on priority sector lending certificates.
- 4.7 To increase liquidity support for the MSME sector, factoring transactions taking place through TReDS (Trade Receivables Discounting System) shall be eligible for classification under priority sector.
- 4.8 A system should be put in place at all levels for maintaining a register/ electronic record, wherein the date of receipt, sanction/rejection/disbursement with reasons thereof, etc., should be recorded. The register/electronic record should be made available to all inspecting agencies.
- 4.9 An acknowledgement is to be provided for loan applications received under priority sector MSME loans and decision should be communicated in writing to the applicants within prescribed time limit.
- 4.10 **Targets / sub-targets for lending to Micro, Small and Medium Enterprises (MSME) Sector**
 - 4.10.1 Advances to Micro, Small and Medium Enterprises (MSME) sector is reckoned for computing achievement under the overall Priority Sector target as per point No.4.1.
 - 4.10.2 Bank is required to achieve a sub-target of 7.5 percent of ANBC or Credit Equivalent Amount of Off-Balance Sheet Exposure, whichever is higher, for lending to Micro Enterprises.
 - 4.10.3 In terms of the recommendations of the Prime Minister's Task Force on MSMEs, Bank has to achieve:
 - i. 20 per cent year-on-year growth in credit to micro and small enterprises,
 - ii. 10 per cent annual growth in the number of micro enterprise accounts and
 - iii. 60 per cent of total lending to MSE sector as on corresponding quarter of the previous year to Micro Enterprises.

Hence, all endeavors to comply with the directives should be made in letter and spirit.

- 5. **COMMON GUIDELINES / INSTRUCTIONS FOR LENDING TO MSME SECTOR**
(Reserve Bank of India Guidelines & internal guidelines thereof)

5.1 Issue of Acknowledgement of Loan Applications to MSME borrowers

- Acknowledgement of all loan applications, submitted manually or online, by MSME borrowers is mandatory.
- It should be ensured that a running serial number is recorded on the application form as well as on the acknowledgement receipt.
- Bank will encourage Central Registration of loan applications and technology will be used for online submission of loan applications, processing and tracking of MSE loan applications to strengthen TAT and improve customer experience.
- The above guidelines should be read along with Priority Sector guidelines of RBI enumerated under Point No.4.6 & 4.7.

5.2 Credit Guarantee Schemes

5.2.1 Credit Guarantee Scheme of Credit Guarantee Fund Trust for Micro & Small Enterprises (CGTMSE) was established in August, 2000 and promoted by Government of India and SIDBI with an objective of providing the guarantee cover to the collateral free loans extended to Micro & Small Enterprises under its scheme known as Credit Guarantee Scheme.

5.2.2 Further, Government of India through Ministry of Finance, Department of Financial Services has notified (a) Credit Guarantee Fund for loan to Micro Units (CGFMU) for the purpose of providing guarantees to loans extended under Pradhan Mantri Mudra Yojana (PMMY) and (b) Credit Guarantee scheme for Stand-up India (CGSSI) for the purpose of providing guarantees to loans extended under Stand-up India Scheme. Also, Government of India through Ministry of Social Justice and Empowerment has launched Credit Enhancement Guarantee Scheme for the Scheduled Castes (CEGSSC) for SC entrepreneurs engaged in Small and Medium Enterprises. The aforesaid schemes are adopted by the Bank. Further, CGTMSE has introduced new “Hybrid Security” product i.e. Partial Collateral security under Credit Guarantee Scheme wherein the Bank shall be allowed to obtain Collateral Security for a part of the Credit Facility, whereas the remaining part of the credit facility, up to a maximum of Rs 200.00 lakh, can be covered under Credit Guarantee Scheme of CGTMSE. The existing features of the Credit Guarantee Schemes of CGTMSE and other approved Institutions along with the modifications are communicated by MSME Department from time to time.

5.2.3 No collateral should be accepted in case of loans upto Rs.10 lacs extended to units in the MSE sectors (whether eligible under Credit Guarantee Scheme or not). Also, Collateral-free loans up to Rs. 10 lakh should be extended to all units financed under the Prime Minister Employment Generation Programme (PMEGP) administered by KVIC. Further, Branches/Offices should cover all loans upto Rs. 25 lacs extended to Micro & Small Enterprises and are eligible for coverage under guarantee scheme of CGTMSE or other approved institutions without any exception. If at all there is any exception, the same should be only with the prior permission of their Regional Head.

5.2.4 Branches/Offices can provide collateral free credit limits upto Rs.200 lacs under Credit Guarantee Scheme for MSEs subject to availability of Credit Guarantee cover, satisfaction of borrower's track record and good & sound financial position.

5.2.5 In order to extend the collateral free loans to number of MSE accounts and cover the same under the Credit Guarantee Scheme, targets are assigned to the Regions for covering accounts under the Credit Guarantee Scheme. The Regions are supposed to distribute these targets among the branches in their jurisdiction. Similarly, Branch level functionaries are to be encouraged to avail the Credit Guarantee Scheme cover by Controlling Offices and the performance of the field functionaries regarding coverage of accounts under Credit Guarantee scheme is to be considered as one of the parameters for evaluating the performance of the field functionaries.

5.2.6 Credit Guarantee Fund for Micro Units (CGFMU):

Under the CGFMU scheme, the guarantee coverage is available on a portfolio basis for the MUDRA loans sanctioned up to Rs.10 lacs. Presently, in our Bank obtaining the fresh credit guarantee from CGFMU is confined to PMMY loans sanctioned for agriculture allied activities and Overdraft in PMJDY accounts only. However these coverage guidelines are dynamic in nature and are subject to change based on the operational feasibility as informed by MSME dept from time to time.

5.2.7 Credit Guarantee Scheme for Standup India (CGSSI):

In order to increase the pace of lending under Standup India Scheme, Government of India introduced Credit Guarantee Scheme for Standup India (CGSSI). It facilitates Credit Guarantee Coverage of all eligible accounts sanctioned under Stand-up India on portfolio basis. The guarantee coverage is available for the loans sanctioned between Rs. 10 lacs to Rs. 100 lacs.

{In our bank, new eligible accounts under Stand Up India are being covered under CGTMSE at present}

5.2.8 Credit Enhancement Guarantee Scheme for Scheduled Castes (CEGSSC):

The scheme is envisaged for extending Term Loans or Composite Loans (combination of term loan, working capital facility and non fund based facility) to SC entrepreneurs engaged in Small and Medium enterprises. The borrower engaged in Manufacturing / Trading / Service Sector may be considered for financial assistance. Working capital and non fund based facility can be availed only along with term loan facility and not independently.

Detailed guidelines on CGTMSE, CGFMU, CGSSI and CEGSSC are communicated to Offices/ Field Functionaries at periodical intervals.

5.2.9 The various credit guarantee schemes/ interest schemes of the Government is subject to periodical changes. In view of the same, CGM/ GM (MSME) will be competent authority to enact any changes in the guidelines in guarantee schemes/ interest schemes in line with statutory/regulatory direction.

5.3 Composite loan

- A composite loan upto Rs.1.00 crore can be sanctioned comprising both term loan and working capital to MSMEs through single window based on the track record and financials of the borrower as per delegated authority. Branches/Offices which have sanctioned Term Loan singly or jointly must also sanction working capital limit singly (or jointly) to avoid delay in commencement of commercial production thereby ensuring that there are no cases where term loan has been sanctioned and working capital facilities are yet to be sanctioned.

5.4 Specialized MSME branches

- 5.4.1 As per Reserve Bank of India guidelines at least one specialised branch is to be opened in each district and categorization of general banking branches having 60% or more of advances to MSME sector as specialized MSME branches for providing better service to this sector as a whole is permitted.
- 5.4.2 Specialized MSME branches is to be ensured in identified clusters/centres with preponderance of small enterprises to enable the entrepreneurs to have easy access to the bank credit and to equip bank personnel to develop requisite expertise.
- 5.4.3 The existing specialized SSI Branches are also identified as MSME Business Banking Branches by the Bank. Though their core competence will be utilized for extending finance and other services to MSME sector, they will have operational flexibility to extend finance/render other services to other sectors/borrowers also. The Bank has identified 213 MSME Focused Branches (MFBs) for all the regions as per Government's "Reform Agenda for Responsive and Responsible PSBs" to ensure EASE (Enhanced Access and Service Excellence).
- 5.4.4 Accordingly, Bank have credit focused branches known as Business Banking Branches (BBBs) with special focus on extending finance and other services to MSME Sector and have the operational flexibility to extend finance/render other services to other sectors/ borrowers. Regional Head to ensure that BBBs/ MFBs are provided with credit officers specially recruited for improving MSME finance / or specially trained credit officers in order to provide prompt service to the MSME clients.
- 5.4.5 Each Business Banking Branch (BBB) and MSME focused branch (MFB) should have a designated single-point MSME relationship officer for monitoring and to provide dedicated services to the top 20 MSME accounts.
- 5.4.6 Regional offices to designate the MSME relationship officer for each BBB and MFB for monitoring the top 20 MSME accounts pertaining to respective BBB and MFB.
- 5.4.7 **Union MSME First Branches:** With a view to have focussed approach towards lending to MSME, Bank has launched Union MSME First Branch (UMFB).
 - MFB will cater to loan, deposit, third party products and other banking activities pertaining to MSMEs.
 - Only MSME loan products (including Retail loans offered to MSME unit) will be available at the branch.

- Branch shall refer to the nearest General Banking Branch for retail leads and retail requirement of promoters/staff members/family of MSME unit.
- Branch will be headed by AGM/CM and shall have a dedicated Relationship Manager (RM) for end to end servicing of MSME customers.
- Dedicated MSME Marketing Managers (MMMs) will be deployed for canvassing new MSME connections for the branch.
- Dedicated Collection Officer will be deployed for monitoring SMA account and spearheading recovery initiatives in NPA accounts.

Gradually, Bank propose to migrate to UMFB structure in place of MFB/BBB for focussed attention on growth of MSME.

5.5 Delayed Payment

5.5.1 Under the Amendment Act, 1998 of Interest on Delayed Payment to Small Scale and Ancillary Industrial Undertakings, penal provisions have been incorporated to take care of delayed payments to MSME units. After the enactment of the Micro, Small and Medium Enterprises Development (MSMED), Act 2006, the existing provisions of the Interest on Delayed Payment Act, 1998 to Small Scale and Ancillary Industrial Undertakings, have been strengthened as under:

- i. The buyer has to make payment to the supplier on or before the date agreed upon between him and the supplier in writing or, in case of no agreement, before the appointed day. The period agreed upon between the supplier and the buyer shall not exceed forty five days from the date of acceptance or the day of deemed acceptance.
- ii. In case the buyer fails to make payment of the amount to the supplier, he shall be liable to pay compound interest with monthly rests to the supplier on the amount from the appointed day or, on the date agreed on, at three times of the Bank Rate notified by Reserve Bank.
- iii. For any goods supplied or services rendered by the supplier, the buyer shall be liable to pay the interest as advised at (ii) above.
- iv. In case of dispute with regard to any amount due, a reference shall be made to the Micro and Small Enterprises Facilitation Council, constituted by the respective State Government.

5.5.2 Branches/Offices to explore fixing of sub-limit within the overall working capital limits sanctioned to the large borrowers specifically for meeting the payment obligation in respect of purchases from MSMEs.

5.6 Framework for Revival and Rehabilitation of MSMEs

5.6.1 The Ministry of Micro, Small and Medium Enterprises, Government of India, vide their Gazette Notification dated May 29, 2015 has notified a 'Framework for Revival and Rehabilitation of Micro, Small and Medium Enterprises' to provide a simpler and faster mechanism to address the stress in the accounts of MSMEs and to facilitate the promotion and development of MSMEs. The Reserve Bank has issued the guidelines on the captioned Framework along with operating instructions on March 17, 2016 for

revival and rehabilitation of MSME units having loan limits up to Rs.25 crore. The revised Framework supersedes the earlier guidelines of RBI on Rehabilitation of Sick Micro and Small Enterprises issued vide RBI circular RPCD. CO. MSME & NFS.BC.40/06.02.31/2012-2013 dated November 1, 2012, except those relating to Reliefs and Concessions for Rehabilitation of Potentially Viable Units and One Time Settlement mentioned in 'Policy on Debt Restructuring Mechanism for SMEs'.

The salient features of the Framework are as under:

- i. Before a loan account of an MSME turns into a Non-Performing Asset (NPA), banks or creditors should identify incipient stress in the account by creating three sub-categories under the Special Mention Account (SMA) category as given in the Framework
- ii. Any MSME borrower may also voluntarily initiate proceedings under this Framework
- iii. Committee approach to be adopted for deciding corrective action plan
- iv. Time lines have been fixed for taking various decisions under the Framework

Bank has put in place a separate Policy on Framework for revival and rehabilitation of MSMEs in consonance with the latest RBI guidelines.

5.6.2 MSE Rehabilitation Cells at Regional Offices for sick Micro and Small Enterprises to monitor / identify sick units / incipient sickness, conduct viability study, follow-up action etc. for timely rehabilitation of viable /potentially viable sick MSE units.

5.6.3 In terms of the RBI circular on Prudential Framework for Resolution of Stressed Assets issued vide ref no. RBI/2018-19/203 DBR.No.BP.BC.45/21. 04.048/2018-19 dated 07.06.2019 Sections I(B) (Implementation of Resolution plan), I(C) (Implementation conditions for Resolution Plan) & I (D) (Delayed Implementation of Resolution Plan) shall not be applicable to Revival & rehabilitation of MSMEs under this Framework.

Detailed guidelines on Framework for Revival & Rehabilitation of MSME are issued through a separate policy i.e. Policy on Framework for Revival & Rehabilitation of MSMEs.

5.7 The imperative of Financial Literacy and consultancy support to Micro and Small Enterprises Sector

5.7.1 Keeping in view the high extent of financial exclusion in the MSME sector, it is imperative that the excluded units are brought within the fold of the formal banking sector.

5.7.2 The lack of financial literacy, operational skills, including accounting and finance, business planning etc. represent formidable challenge for MSE borrowers underscoring the need for facilitation in these critical financial areas.

5.7.3 Moreover, MSE enterprises are further handicapped in this regard by absence of scale and size.

- 5.7.4 To effectively and decisively address these handicaps, a special cell at branches, or vertical integration of this function in the Financial Literacy Centres (FLCs) is to be set up as per the comparative advantage.
- 5.7.5 The bank staff is to be trained through customized training programs to meet the specific needs of the sector.
- 5.7.6 Government e-Marketplace (GeM) [details available on <https://gem.gov.in>] is the National Public Procurement to facilitate online procurement of common use goods and services required by various Government Departments / organizations / PSUs. GeM will enhance transparency, efficiency and speed in public procurement. It will also provide the tool for e-bidding and reverse e-auction as well as demand aggregation to facilitate the government users to achieve best value for the money. Our MSME customers should be advised to get themselves registered at GeM for easy facilitation of access to market place.
- 5.8 **Structured Mechanism for monitoring the credit growth to the MSE sector**
 - 5.8.1 The existing systems for monitoring credit growth to the sector is to be strengthened by system-driven comprehensive performance management information system (MIS) at every supervisory level (Branch, Region, Zone, Central office), which is to be critically evaluated on a regular basis.
 - 5.8.2 System of e-tracking of MSE loan applications and monitoring the loan application disposal process, giving branch-wise, region-wise, zone-wise and State-wise positions is to be put in place. The position in this regard is to be displayed in Bank's websites.
 - 5.8.3 Timely rehabilitation of sick MSE units as discussed under Point 5.6 is to be monitored. The progress in rehabilitation of sick MSE units is to be made available on the Bank's website.
- 5.9 **Empowered Committee on MSMEs**
 - 5.9.1 Empowered Committees on MSMEs have been constituted under the Chairmanship of the Regional Directors of RBI with the representatives of SLBC Convenor, senior level officers from two banks having predominant share in MSME financing in the state, representative of SIDBI Regional Office, the Director of Industries of the State Government, one or two senior level representatives from the MSME Associations in the state, and a senior level officer from SFC/SIDC as members.
 - 5.9.2 The Committee will meet periodically and review the progress in MSME financing as also rehabilitation of sick Micro, Small and Medium units.
 - 5.9.3 It will also coordinate with other Banks/Financial Institutions and the State Government in removing bottlenecks, if any, to ensure smooth flow of credit to the sector.
 - 5.9.4 The committees may decide the need to have similar committees at cluster/district levels.

5.10 Cluster Approach

5.10.1 The credit requirement in the clusters identified by the Ministry of Micro, Small and Medium Enterprises, Government of India, where our Bank is a SLBC Convenor is to be incorporated in Annual Credit Plan.

5.10.2 A full-service approach to cater to the diverse needs of MSE sector may be achieved through extending banking services to recognized MSE clusters by adopting a 4-C approach namely, Customer focus, Cost control, Cross sell and Contain risk.

A cluster based approach to lending may be more beneficial:

- i. In dealing with well-defined and recognized groups
- ii. Availability of appropriate information for risk assessment and
- iii. Monitoring by the lending institutions.

Clusters may be identified based on factors such as trade record, competitiveness and growth prospects and/or other cluster specific data.

5.10.3 Institutional arrangements for delivering credit to the MSME sector, where our Bank is a SLBC Convenor is to be reviewed, especially in 388 clusters identified by United Nations Industrial Development Organisation (UNIDO) spread over all states in various parts of the country.

5.10.4 The Ministry of Micro, Small and Medium Enterprises has approved a list of clusters under the Scheme of Fund for Regeneration of Traditional Industries (SFURTI) and Micro and Small Enterprises Cluster Development Programme (MSE-CDP) located in various Minority Concentration Districts.

5.10.5 In terms of recommendation of Prime Minister's Task Force more MSE focused Branches at different MSE clusters are to be opened, which could also act as Counselling Centres for MSEs. Further, at least one MSE cluster may be adopted in a district where our bank is a lead bank as per comparative advantage.

5.10.6 The Niti Aayog of the Government of India has identified Aspirational Districts for improving the socio-economic status. The program focuses on 5 themes, including theme on Financial Inclusion & Skill Development. Under the Government's EASE Agenda one of the Action points is reach & ease of institutional financing for small businesses (MSMEs) with focus on disbursement of MUDRA loans. The list of Aspirational Districts is communicated by MSME Department time to time to RO/FGMO for necessary focused attention.

5.10.7 The initiatives taken by the Bank in development of MSE clusters is discussed in Point No. 6.5 of the policy.

5.11 Credit Linked Capital Subsidy Scheme (CLCSS)

- 5.11.1 Government of India, Ministry of Micro, Small and Medium Enterprises has introduced Credit Linked Capital Subsidy Scheme (CLCSS) for Technology Upgradation of Micro and Small Enterprises subject to the following terms and conditions:
- i. Ceiling on the loan under the scheme is Rs.1 crore.
 - ii. The rate of subsidy is 15% (25% in case of SC/ST) for all units of micro and small enterprises up to loan ceiling of Rs 1.00 Crore.
 - iii. Calculation of admissible subsidy will be done with reference to the purchase price of plant and machinery instead of term loan disbursed to the beneficiary unit.
 - iv. SIDBI and NABARD will continue to be implementing agencies of the scheme.
- 5.11.2 Bank is implementing the scheme with Connaught Circus Branch, New Delhi as a nodal branch. The details of the scheme are circulated through separate guidelines from time to time.

6. INITIATIVES FOR STEPPING UP CREDIT TO MSMEs:

6.1 Establishment of Centralized Processing Centers- SARALs

The SARAL (Systematic Appraisal and Risk Assessment of Loan) i.e. Central Processing Centers (CPC) were established with the following objectives:

- i. To accelerate the credit flows to MSMEs through focused sales and marketing.
- ii. To enhance Customer service through improved TAT and uniformity in credit appraisal.
- iii. To improve asset quality, by systematic credit appraisal and developing expertise in processing MSME proposals.

Presently SARAL network is available in all the 125 Regions of the Bank. In order to achieve the above-mentioned goals, the roles and responsibilities of the SARALs are reviewed & redefined from time to time, as and when required.

6.2 MSE Care Centers

6.2.1 Bank has designated all its Regional Offices as MSE care centers. Their Details such as name & address of the office, contact person, phone numbers etc. have been made available on the Bank's Web site.

6.2.2 For redressal of MSME complaints each Zonal office will form a Committee headed by the Zonal Head at the FGMO level to look into the complaints and their time bound redressal. The Zonal Head will be the "Nodal Officer" at FGMO level for redressal of complaints. The Committee will verify periodically that the guidelines under Priority Sector in general and MSME sector in particular are compiled by the branches and complaints are redressed promptly. Endeavour should be made to dispose the complaint within 15 working days. The names and addresses with telephone number of the Nodal Officer with whom complaints can be lodged should be displayed on the notice board of every branch.

6.6.2.1 In case the complaint is not redressed the same is to be escalated to Central Office, MSME Dept. for redressal. MSME Department should address the complaint within 15 days of receipt of matter from FGMO.

6.6.2.2 The Nodal Officer at FGMO will be responsible for maintaining the repository of all the data related to MSME complaints.

6.2.3 Further, the list of Business Banking Branches, MSME Focused Branches and Union MSME First Branches is made available on Bank's website under "MSME Contact Points".

6.3 Pradhan Mantri MUDRA Yojna (PMMY)

6.3.1 Micro Units Development and Refinance Agency (MUDRA) is a Public Sector Financial Institution which was launched by the Prime Minister on 08-04-2015. The prime objective behind setting up of this Agency is for "Funding the unfunded" and "Formalizing the informal". MUDRA aims at providing refinance /finance to the 'Last mile Financial Institutions' which are in the business of financing micro enterprises in manufacturing, trading and services sector in rural and urban areas. Accordingly, MUDRA would be extending refinance to the Banks for their lending to Micro Enterprises in the country.

6.3.2 MUDRA has categorized exposure to Micro Units into different buckets based on amount of Loan. The details of classification are as under:

- i. **Shishu:** Loan amount upto Rs.50,000/-
- ii. **Kishore:** Loan amount exceeding Rs.50000/- and upto Rs.5.00Lacs
- iii. **Tarun:** Loan amount exceeding Rs.5.00Lacs upto Rs.10.00Lacs

6.3.3 All the credit facilities extended to Micro Enterprises with overall credit limit upto Rs.10.00 lacs extended on or after 08-04-2015 are to be reported under PMMY. A separate MUDRA loan application is formulated by IBA, which is adopted by the Bank.

6.3.4 MUDRA Ltd. has also conceived a product called "MUDRA Card". The co-branded card will be issued by the Bank which will help the eligible borrower to access credit on a flexible manner to meet working capital needs.

6.3.5 The operating guidelines under Prime Minister MUDRA Yojana including instructions of the Ministry will be communicated by MSME Department from time to time.

6.4 Standup India

STAND UP INDIA is an initiative taken by the Honourable Prime Minister of India which basically aims to promote entrepreneurship among SC/STs and Women entrepreneurs. Standup India scheme facilitates Bank loans between Rs. 10 lacs to Rs. 100 lacs for SC / ST / Women beneficiaries for starting green field projects. This enterprise may in manufacturing, services or trading sector.

6.5 Start-up India

A new MSME Scheme "Union Start Up" has been started to provide a bankable platform for economically viable business units to meet their need based business requirement. Unit must be eligible and certified as "Start-up" by the concerned Government Authority as per Start-up India scheme launched by Government of India (Gol).

6.6 Simplified Common Loan Application Form for MSMEs

- 6.6.1 Indian Banks' Association (IBA) Managing Committee has approved a Simplified Common Loan Application Form for MSMEs to be used by the Bank for loans upto Rs.2.00 crore.
- 6.6.2 Bank has adopted the same and circulated among all the branches for use.
- 6.6.3 A copy of the same is available on Bank's website.
- 6.6.4 All branches to use invariably simplified common loan application forms for MSMEs. However, MSMEs may also utilize the loan application form as per SARAL guidelines, wherever applicable as per their convenience.

6.7 Online Application Facility

6.7.1 For MSME Applicants:

Bank has introduced the online application module for MSE entrepreneurs. Now the MSE applicants have facility to apply online for a loan and can track online the status of his application at any point of time.

Under the module, the entire application for MSE is available online to the applicant. Applicant may choose his preferred branch and shall fill up the entire application form. A unique reference number will be generated by the system through which applicant can track the status of his application. Online acknowledgement will also be generated.

The online loan application facility is extended for MSE loans applications having credit requirement up to Rs.200.00 Lacs.

- 6.12.1.a The Online loan application Facility for the MUDRA loan on U-Mobile, Website and Tab is launched by the Bank. The online application form will have the provision to select the branch, where 'Mudra loan' facility is proposed to be availed by the customer.
- 6.12.1.b The Bank pursues tie-ups with Fintech companies engaged in development of innovative financial technologies and providing an end to end credit dispensation solution. The bank has on-boarded on the "psbloansin59minutes.com"/ "psbloansin59minutes.com/unionbank" portal. The interface enables MSME borrowers to get in-principle approval subject to fulfillment of set criteria. The portal has in-built integration of numerous channels such as GST, Income Tax, Bank Statement analyser, MCA etc. The detailed operational modalities for the usage of the subject portal are already issued separately.
- 6.12.1.c Straight Through Processing (STP) is a key technological advancement used by banks to digitally process the loan proposals from end-to-end without manual intervention. Bank has launched STP facility for New as well as existing MSME customers seeking credit facilities upto Rs. 5.00 crore. The loan facility can be applied through link hosted in Bank's Website / U-mobile & the customer can receive in-principle

approval. STP facility is one of its kind in the industry providing seamless and instant approvals.

- 6.12.1.d Bank has also put in place a dedicated STP loan facility for Shishu Mudra Loans. It is an 'End-to-end Digital Loan' origination platform for enabling existing and new to bank customers to avail loan up to Rs. 50,000 through mobile and web application interfaces' in a self-service mode.

6.7.2 Standupmitra:

Government of India has unveiled standupmitra portal, a virtual market place, where MSME entrepreneurs can apply for loans online through <https://www.standupmitra.in/>, which can be accessed by Bankers and Standupmitra team. As per the preference given by the entrepreneurs, concerned Bank / branch has to pick up the proposal for processing, sanctioning and disbursement. The same is to be updated on the portal simultaneously. All branches have to log in to the portal for verification of proposals submitted by the customers on daily basis.

6.7.3 Udyamimitra:

Udyamimitra is a portal developed by SIDBI for submitting the online loan applications by the MSME entrepreneurs with various Banks which can be accessed through <https://udyamimitra.in/>.

6.8 Assessment of Credit Limits

- 6.8.1 The applicable lending methods and other related matters for assessment of credit limits have been discussed in detail in the Bank's Loan Policy. Hence, they are not being reiterated and can be referred from Loan Policy.

- 6.8.2 In line with Nayak Committee Report, working capital limits to MSE units is to be computed on the basis of minimum 20% of their estimated turnover up to credit limit of Rs.5 crores. The turnover method shall be applied for sanction of fund based working capital limits to the non MSE borrowers requiring working capital facilities upto Rs.100 Lacs from the banking system. Otherwise, the applicable lending methods such as Flexible Bank Finance, Cash Budget Method etc are to be followed. If any schemes allowed any other method of assessment, then assessment as prescribed under the scheme will be valid.

- 6.8.3 In order to mitigate the constraints faced by MSEs and to support Digital Push as desired by Government of India, Bank has introduced a new scheme "Union Turnover Plus" to fund the need based requirement of MSEs having working capital cycle of above 3 months based on projected/accepted sales turnover and which are adopting digital cashless channels for their business transactions. Under the schemes, Bank finance upto 30% if Digital portion and 25% of the balance portion of the projected sales will be considered. In furtherance of the Government initiative in tax reforms, Bank has introduced Union GST Gain scheme for GST registered MSMEs wherein assessment is done based on the turnover as per GST returns.

6.8.4 Term Loan can be considered to the MSME borrowers as per the existing guidelines of the Bank.

6.8.5 Off-Balance Sheet facilities like Letters of Credit, Bank Guarantee etc. can also be considered to the MSME borrowers as per the existing guidelines of the bank.

6.8.6 Loans under A-TUFS (previously TUFS) scheme

- Our Bank is nominated as a nodal agency by the Govt. of India, Ministry of Textiles for ascertaining eligibility under TUFS, both for MSME and Non-MSME entities as also to disburse subsidies directly to eligible entities.
- A TUFS Cell is established at MSME Deptt Central Office, with a view to have proper control and to monitor the above activities under TUFS and also to assess the eligibility, disbursement of subsidies and co-ordination with different Government departments. The detailed guidelines regarding Scheme have been issued from time to time.
- A-TUFS (Amended Technology Upgradation Fund scheme) had been notified by Ministry of Textile on 13.01.2016. The guidelines of A-TUFS on financial and operational parameters and implementation mechanism for A-TUFS during its implementation period from 13.01.2016 to 31.03.2022 were laid down.
- The detailed guidelines under TUFS are issued by Ministry of Textiles, Government of India from time to time which will be followed by Bank.

6.9 Risk Rating and Pricing

In addition to internal and external rating of borrowers, the Bank has subscribed to CIBIL MSME Rank (CMR) as an additional due diligence tool. It is applicable to MSMEs with aggregate commercial borrowings between Rs.10 lakhs to Rs.10 crores. The applicable guidelines on risk rating and pricing is enumerated in Loan Policy, Internal Risk Rating Policy and Credit Risk Management Policy of the Bank. Hence, they are not being reiterated and can be referred from the subject policies.

6.10 Rejection/Curtailment of MSE proposal

There should not be any delay in sanctioning and disbursement of credit. The time schedule for disposal of application should be adhered to. In case of rejection/curtailment of credit limit of the MSE /Priority Sector loan proposal a reference to next higher authority should be made.

6.11 MSME Products:

The credit requirements of MSMEs vary according to place, cluster, activity etc. In this age of fast changing technology and competition, MSMEs require hassle free credit facilities for updation of technologies, acquisition of machineries, tide over the liquidity crunch etc. Bank has, therefore, designed various MSME products looking into the requirements of the borrowers as detailed below:

1.	Union Parivahan	15.	Union e-Way Bills Solution
2.	Union Nari Shakti	16.	Union Standby Line of Credit
3.	Stand Up India	17.	Union General Credit Card
4.	Union Professional	18.	Union Residential Real Estate Inventory Support
5.	Union Turnover Plus	19.	Union Guaranteed Emergency Credit Line: 1.0, 2.0, 3.0, 4.0, 1.0 (Ext), 2.0 (Ext) & 3.0 (Ext)
6.	Union Ayushman Plus	20.	Prime Minister SVANidhi
7.	Union Start up	21.	Union Credit Guarantee scheme for sub-ordinate debt.
8.	Union MSME Suvidha	22.	Union Aarogyam
9.	Union GST Gain	23.	Union Sanjeevani
10.	Union Progress	24.	Financing Traders against Electronic Negotiable Warehouse Receipt (eNWR)
11.	Union Liqui Property	25.	Union Loan Guarantee Scheme for Covid Affected Sectors (ULGSCAS)
12.	Union Rent	26.	Union Loan Guarantee Scheme for Covid Affected Tourism Service Sector (ULGSCATSS)
13.	Union MUDRA	27.	Union Equipment Finance
14.	PMEGP	28.	Union MSME Credit Card

6.12 Channel Financing initiatives: Channel financing scheme by the name Automated Invoice Finance (AIF) Scheme integrated with Cash Management Services branches at e-CB branches is continued for the amalgamated entity. The facility involves AIF to dealers and vendors of identified reputed manufacturers.

6.18 Co-Lending with NBFCs: Bank shall also extend finance to MSMEs under tie up with NBFCs through Co-lending Model as per RBI guidelines. Detailed guidelines of Co-lending model are issued through separate policy.

7. Modification and Review

7.1 The Policy shall also be modified to give effect, in case of any changes in the existing guidelines/directives/instructions based on the directives/advice of Reserve Bank of India/Government of India/other regulatory authorities, issued from time to time, subject to reporting and approval of the Board of Directors.

7.2 The Policy will be reviewed / revised from time to time, at least once in a year to adapt to the changing economy/environmental demands and to incorporate/ implement any changes in the credit strategy of the Bank related to the MSME customers.

UNIONBANK PERSONAL LOAN TERMS AND CONDITIONS

DEFINITIONS

A. When used here, the following terms, unless the context suggests otherwise, shall have the following meanings:

"The Bank" or **"UnionBank"** shall mean Union Bank of the Philippines.

"UnionBank Personal Loan" means the **UnionBank** Personal Loan facility, or its equivalent loan facility granted by the Bank.

"I", "me", "my" refer to the borrower named in the Application Form.

"Amortization Schedule" means the schedule attached to the Disclosure Statement as Annex A, which includes the Monthly Installment Amount Due that contains the principal, interest and other bank charges, if applicable.

"Annual Contractual Rate" or **"ACR"** means the interest that will be charged on my loan based on a three hundred and sixty (360)-day period, computed on a monthly basis wherein each month consists of thirty (30) days. (There is an initial interest that is computed based on the actual number of days from the approval date of my loan transaction to my first statement date after the said approval date. It will be charged on my first Statement of Account issued following the approval date.)

"Application Form" means the application form which I signed and submitted to the Bank to apply for a **UnionBank** Personal Loan, together with all documents submitted therewith.

"Approved Loan Amount" means the approved amount of each loan that I avail within the Credit Limit of my **UnionBank** Personal Loan account.

"Auto-Debit Arrangement" means the scheduled payment arrangement with my Nominated Depository Bank to deduct from my Nominated Deposit Account the Total Amount Due on Payment Due Date or when my Nominated Depository Bank receives the billing report from the Bank.

"Auto-Debit Enrollment Form" means the form required by the Nominated Depository Bank to implement the Auto-Debit Arrangement between me and the Bank.

"UnionBank Customer Service" means the telephone and other channels made available by the Bank where the Bank may be reached.

"Closure Handling Fee" has the meaning ascribed to it in the Application Form.

"Disbursement Fee" has the meaning ascribed to it in the Application Form.

"Disclosure Statement" means the disclosure statement required under the Truth in Lending Act (Republic Act No. 3765) and relevant laws and regulations.

"Effective Interest Rate" or **"Effective Annual Interest Rate"** or **"EIR"** means the rate that exactly discounts estimated future cash flows through the life of the loan to the net amount of loan proceeds (BSP Circular No. 730, S2011).

"Loan Documents" means, collectively, the Application Form, the Disclosure Statement and Amortization Schedule, the **UnionBank** Personal Loan Terms and Conditions, the Statements of Account, the Auto-Debit Enrollment Form, other bank records/audit trails, the Manager's Check/s, if any, and as the case may

be, other records of the Bank or any other bank evidencing the receipt, deposit or encashment of the Manager's Check/s or the electronic transfer of funds to my specified bank account or disbursement as cash at any of the Bank's branch.

"Loan Obligations" means the totality of the following obligations: (i) the obligation to pay the principal of and interest due on my loan as provided in the Disclosure Statement and Amortization Schedule, including penalties, fees, expenses and other charges stipulated as payable by the Borrower under the Disclosure Statement and/or the Statements of Account, and (ii) all the non-financial obligations required to be performed by the Borrower under the Disclosure Statement.

"Loan Period" means the number of Months stated in the Disclosure Statement and Amortization Schedule and is the period within which I am obliged to repay my loan. For the avoidance of doubt, the Loan Period shall commence on the Loan Period Commencement Date.

"Loan Period Commencement Date" means the date the loan was approved by the Bank as stated in the disclosure statement.

"Manager's Check" means the manager's check issued to my name in an amount equivalent to my Approved Loan Amount and may be delivered by the Bank to the address specified by me in my Application Form or any Manager's Check/s issued in replacement thereof.

"Month" means the period commencing on a specified day in a calendar month and ending on the numerically corresponding day of the next calendar month (or if there is no such day in the next calendar month, such period shall end on the last day of such calendar month); Provided, however, that the first Month of the Loan Period means the period commencing on the Loan Period Commencement Date and ending on the first Statement Date.

"Monthly Installment Amount" means the portion of my Total Loan Amount that I must pay every Month as stated in the Disclosure Statement and Amortization Schedule.

"Net Proceeds of my loan" means my Approved Loan Amount.

"Nominated Depository Bank" means the bank where I maintain my Nominated Deposit Account.

"Nominated Deposit Account" means the deposit account where my Total Amount Due will be debited by my Nominated Depository Bank on Payment Due Date or when my Nominated Depository Bank receives the billing report from the Bank.

"Payment Due Date" means the last date for payment. This is approximately nineteen (19) days after the Statement Date. If I missed to pay the Minimum Amount Due after this date, my account becomes delinquent and is subject to Late Charge. If I issued PDCs as payment or authorized a Nominated Depository Bank to auto-debit my Total Amount Due, it is my responsibility to ensure that my checking account or Nominated Deposit Account is funded on the Payment Due Date or on the date indicated on the PDC or on clearing date, whichever is earlier.

"Returned Check Fee" has the meaning ascribed to it in the Application Form.

"Statement of Account" or **"SOA"** means the monthly billing statement sent to me by the Bank indicating, among others, the Monthly Installment Amount and all other amounts due for the relevant Month and the Payment Due Date. "Statement of Account" or "SOA" includes electronic or digital billing statements, which may be referred to as "electronic statement", "e-statement", or "eSOA".

"Total Loan Amount" means the sum of

- i. My Approved Loan Amount plus

- ii. The sum of the interest component of my Monthly Installment Amount as stated in the Amortization Schedule attached to my Disclosure Statement.
- B. In the SOA and in the Terms and Conditions where mentioned, unless otherwise specified:

“Account Number” means the unique reference number to identify my UnionBank Personal Loan account in the Bank records for the purpose of payments and usages.

“Available Credit Limit” means the remaining Credit Limit after all my loan availments, fees and charges have been deducted and all my Payments have been added.

“Billed Installment Amount” means the Monthly Installment Amounts Due on my outstanding loans that are billed on my SOA.

“Credit Limit” means the credit limit granted to me by the Bank which I may use for loans. The fees and charges, including the interest on the said fees and charges, will also be charged against this Credit Limit on the relevant charging dates.

“Minimum Amount Due” means the least amount I have to pay on or before the Payment Due Date to keep my account current. Minimum Amount Due computation:

- A. The Total Amount Due if it is less than or equal to Five Hundred Pesos (PhP500); or
- B. The sum of the items below or Five Hundred Pesos (PhP500), whichever is higher:
 1. Disbursement Fee and DST (if any);
 2. All Overdue Amounts, if any;
 3. Current billed Monthly Installment Amount Due, if any;
 4. Excess over Credit Limit, if any;
 5. Interest Charge and Late Charge, if any;
 6. For prepayment of loans:
 - a. Closure Handling Fee; and
 - b. Pro-rated interest computed from the date of posting of the last Monthly Installment payment to the date of prepayment, if any;
 7. Total Amount Due less items 1 to 6, multiplied by one per cent (1%).

Please note that your Current Due (i.e. Minimum Amount Due less Past Due Amount) will always be at least P500 or the sum of a) Current billed Monthly Installment Amount Due (b) Excess over Credit Limit (c) Interest Charge and Late Charge (d) Closure Handling Fee and (e) Pro-rated interest computed from the date of posting of the last Monthly Installment payment to the date of prepayment. Current Due may be less than P500 or the sum of items a-e for certain cases to ensure that Minimum Amount Due will not be greater than Total Amount Due.

“Monthly Installment Amount Due” means the Monthly Installment Amount due for the particular month covered by the SOA.

“Monthly Interest Charge” or **“Interest Charge”** means the interest, computed using the Monthly Interest Rate, applied on any or all of the following: (1) on any unpaid fees and charges, and (2) on the Total Amount Due, when my UnionBank Personal Loan is in default at sixty (60) days past due, in which case, the Total Amount Due will include any unpaid fees and charges, the past due monthly principal installment amounts and the remaining principal balance. Such interest shall be compounded monthly and will continue to be charged until full payment of Total Amount Due plus accrued interest.

“Monthly Interest Rate” or **“Interest Rate”** means the monthly revolving rate of interest used for computing the Monthly Interest Charge, as reflected in the Application Form, as may be amended from time to time.

“Monthly Late Charge” or **“Late Charge”** has the meaning ascribed to it in the Application Form.

“Months to Pay” means the remaining term of my outstanding loan/s.

“Overdue Amount” means the Minimum Amount Due billed in the previous Statement of Account that remains unpaid, wholly or partially, and needs to be settled immediately.

“Payments” means the total payments I made, including PDCs that cleared within the current statement period, and amounts debited from my Nominated Deposit Account and credited in favor of the Bank.

“PDC Payment” means the particular PDCs I submitted to the Bank upon loan availment, which will be deposited by the Bank to pay the corresponding Monthly Installment Amounts Due on the Payment Due Date of the current SOA. It is my responsibility to ensure that my Checking Account is funded during the clearing period of such PDCs.

“Post Date” means the date when the Bank records a transaction.

“Post Dated Checks” or **“PDCs”** means the particular post-dated-check/s I submitted to the Bank upon loan availment, which will be deposited by the Bank for clearing, to pay the corresponding Monthly Installment Amounts Due as stated in my SOA.

“Statement Date” means the date when the statement is generated.

“Total Amount Due” means total amount payable inclusive of the following:

- i. Remaining unpaid balances from previous SOA including Overdue Amounts, if any;
- ii. Billed fees (such as Disbursement Fee, Returned Check Fee, Closure Handling Fee) and DST, if any;
- iii. Excess over Credit Limit as of Statement Date, if any;
- iv. Monthly Installment Amounts Due, if any;
- v. Late Charge and Interest Charge as of Statement Date, if any.

“Total Amount Due This Month” means the sum of the Monthly Installment Amount, and all other amounts due, for the particular Month covered by the SOA.

“Transaction Date” means the date when any new loan availment was approved, any fees and charges were imposed, or any Payments I made were received by the Bank.

“Unbilled Installment Amount” means the total unbilled monthly installments of my outstanding loan/s.

BORROWING

The Bank shall disburse the Net Proceeds of my loan to me in accordance with my request stated in the Application Form or advised by me over the phone either by:

- a. Electronic transfer of funds to the bank account I specified; or
- b. Cash disbursement from a designated branch of the Bank; or
- c. Manager’s Check either by delivery to the address I specified or pick-up from a designated branch of the Bank.

The Bank shall disburse the Net Proceeds of my loan to me as aforesaid within twelve (12) calendar days following the date of the call from the Bank in the mobile number specified by me in the Application Form or advised by me over the phone; provided, however, that the Bank shall in no case be liable for any delay in disbursement of my loan or in the encashment or deposit of the Manager’s Check/s. I understand and agree that the electronic transfer of funds shall be subject to the policies and rules of the receiving bank specified by me.

OPERATION OF UNIONBANK PERSONAL LOAN ACCOUNT

- a. I understand that I may operate my UnionBank Personal Loan account by availing cash at installment terms of up to ninety-six per cent (96%) of my Credit Limit and with a maximum of four (4) outstanding loan availments only.
- b. I understand that the Bank shall set a Credit Limit in relation to my UnionBank Personal Loan account, from which I may draw loans, and that the Bank may, in its reasonable discretion, increase or decrease the Credit Limit of my UnionBank Personal Loan account at any time with reasonable notice to me. The Credit Limit to be assigned to me will depend on my credit standing and is subject to UnionBank's credit underwriting policy. Unless the Bank otherwise approves or additional credit is granted to me, I must not carry out transactions which would result in the sum of the outstanding balance/s of my loan availments exceeding ninety-six per cent (96%) of the Credit Limit of my UnionBank Personal Loan account granted to me from time to time.
- c. The Bank may, in its reasonable discretion, at any time, grant me additional credit beyond the Credit Limit of my UnionBank Personal Loan account upon such terms and conditions it may determine. The Bank reserves the right to withdraw or modify such additional credit granted with reasonable notice to me.
- d. I agree and consent for the Bank to review and adjust my UnionBank Personal Loan Credit Limit in the Bank's absolute discretion in accordance with its credit and other policies.
- e. I further understand that the Bank may, in its discretion, request for my Income Tax Return (ITR), Audited Financial Statements (AFS), and/or any other documents in support of my credit standing, or as conditions precedent before I can avail of the loan/s, and that it is my responsibility to provide the same.
- f. For every loan availment, I understand that I will be required to submit corresponding PDCs amounting to the loan availed as indicated in the Disclosure Statement, or, if applicable, an Auto-Debit Enrollment Form required by my Nominated Depository Bank. The Disclosure Statement will be delivered to me or will be provided to me at the designated branch of the Bank where I chose to pick-up the Net Proceeds of my loan, in which case, I will be required to submit the PDCs or the Auto-Debit Enrollment Form.

The charging of the Approved Loan Amount is deferred for the first Statement of Account, and an initial interest will be charged in consideration of the longer payment period provided to me to repay the Approved Loan Amount. The Monthly Installment Amount Dues will be reflected on my second and succeeding Statements of Account after the approval date. The initial interest is computed based on the actual number of days from the approval date of your loan transaction to your first statement date after the said approval date. It will be charged on your first Statement of Account issued following the approval date. The initial interest is calculated by multiplying (i) the Approved Loan Amount, (ii) the applicable monthly Effective Interest Rate (EIR) and (iii) the number of days from the approval date to the first statement date; and dividing the total by thirty (30) days.

Submission of PDCs will be reflected as payment but will still be subject to clearing and settlement. The PDCs I submit will be applied as payment following the provision on Application of Payments section of this document. I must ensure that all PDCs are funded come the Payment Due Date provided in the SOA/e-SOA, or the maturity date I wrote on each PDCs I submitted, whichever comes first. I understand that on the first billing of each loan that I avail, all fees charged due to the availment of loan, such as the initial interest, Disbursement Fee and DST (if applicable), should be covered by the first PDC I submit as payment to such loan, while all other fees and outstanding billed items not covered by my PDC should be settled over the counter. I may refer to the table of fees and charges in the Application Form for reference.

Payments made via the Auto-Debit Arrangement will be credited to my UnionBank Personal Loan account upon receipt by the Bank of the debited amount from the Nominated Depository Bank where my Nominated Deposit Account is maintained. The debited amount will be applied as payment following the provision on Application of Payments section of this document. I must ensure that my Nominated Deposit Account will be funded on the Payment Due Date stated on my Statement of Account or on such dates as may be agreed upon between me and the Bank. I understand that on the first billing of each loan that I avail, all

fees charged due to the availment of loan, such as the initial interest, Disbursement Fee and DST (if applicable), will be debited from my Nominated Deposit Account on the first Payment Due Date. I may refer to the table of fees and charges in the Application Form for reference.

EVIDENCE OF AVAILMENT OF MY LOAN

My availment of loan shall be evidenced by the Manager's Check issued by the Bank, if any, and the acknowledgment receipts and other records of the Bank or any other bank evidencing the receipt, deposit or encashment of the Manager's Check or the electronic transfer of funds to my specified account, or disbursement as cash, as the case may be. The Bank shall have the right to keep all evidences of my loan availment from my UnionBank Personal Loan account. I acknowledge that in case of dispute, the above evidence and corresponding Statements of Account are valid proofs of my loan availment from my UnionBank Personal Loan account.

LOST, STOLEN OR DESTROYED MANAGER'S CHECK

In the event that the Manager's Check is lost, stolen or destroyed, I shall immediately report the same through a written notice submitted to the nearest branch of the Bank. I shall provide the Bank with an indemnity agreement or a bond of indemnity acceptable to the Bank protecting it against liability with respect to the lost, stolen or destroyed check in connection with any request which I may make for the issuance of a replacement Manager's Check.

REPAYMENT

I shall fully pay and liquidate my Total Loan Amount within the Loan Period and fees and charges, including the Interest Charge, the payments to be made on the Payment Due Dates and in the amounts set forth in the Statements of Account.

I shall pay all amounts due on my UnionBank Personal Loan account through any of the payment channels indicated in the SOA or such other separate payment brochures or similar communications as the Bank may deliver to me from time to time or as may otherwise be prescribed by the Bank.

I hereby waive my right to make application of payment under Article 1252 of the Civil Code of the Philippines especially in the case where I have more than one (1) obligation in favor of the Bank, regardless of the source and nature of said obligation.

In the SOA given to me, I understand that I shall be liable to pay the outstanding Total Amount Due indicated on the SOA. I have the option to pay any of the following amounts on or before the Payment Due Date stated in the SOA:

- a. the Total Amount Due,
- b. the Minimum Amount Due, or
- c. any amount in between the Total Amount Due and the Minimum Amount Due.

In any event, I must pay at least the Minimum Amount Due, which the Bank must receive on or before the Payment Due Date.

If the Total Amount Due is less than Five Hundred Pesos (Php500) or is exactly Five Hundred Pesos (Php500), I understand that the Total Amount Due will be considered the Minimum Amount Due that I will need to settle.

The unpaid balance of the Minimum Amount Due will be considered past due if unpaid after the Payment Due Date. I shall then be liable to pay Late Charge, penalty, interest and other charges incurred, as applicable. The Bank reserves the right to demand the obligation in full in case of default.

In case I have other credit facilities with the Bank, I hereby authorize the Bank, without any obligation on its part, to unilaterally apply, without prior notice, my Payments to any of my accounts at the option and sole discretion of the Bank. I further authorize the Bank, without any obligation on its part, to likewise unilaterally apply, without prior notice, Payments I made or amounts due to me resulting from overpayments, to any of my outstanding obligations with the Bank.

In the event that I choose to pay via PDCs, I understand and agree that:

- a. such PDCs will be reflected as payment on relevant dates but will still be subject to clearing and settlement. The PDCs I submitted will be applied as payment following the provision on Application of Payments section of this Terms and Conditions. I must ensure that all PDCs will be funded come the Payment Due Date stated on my SOA or the date I wrote on each PDCs, whichever comes first,
- b. on the first billing of each Loan, the initial interest, Disbursement Fee and DST (if applicable), should be covered by the first PDC, while all other fees and outstanding billed items not covered by my PDC should be settled over the counter. I may refer to the table of fees and charges in the Application Form for reference.
- c. checks used for payment will be credited to my account only upon collection in accordance with usual transit/clearing schedules for local and outstanding credits, net of charges from the drawee bank and the Bank's own charges,
- d. when my account becomes delinquent due to dishonored checks or late/ missed payments of all outstanding billed items, the PDCs I submitted as Payments will be applied to the past due amounts first, followed by the current billed amounts, in accordance to the order of payment application as set out in Application of Payment section of this Terms and Conditions, and that my PDC Payments in this case will no longer be used as payment to the corresponding monthly installment of my outstanding loan/s that I submitted the PDCs for,
- e. in case I have more than one (1) outstanding Loan to which I have submitted different sets of PDCs as payment, the PDCs will not be applied as payment to the Monthly Installment Amount Due for the specific outstanding Loan I submitted it for, and instead will be used as payment to the outstanding billed and past due items following the order of payment application mentioned in Application of Payment section of this Terms and Conditions. The same will be followed whether the status of my account is current, delinquent or in default.
- f. in the event that any check payment hereunder shall be dishonored or returned unpaid for any reason whatsoever, I will pay a Returned Check Fee, in addition to any charges which my bank shall impose,
- g. I should ensure that the PDCs submitted to the Bank are completely and correctly filled out (amount in words and figures are the same, amount in words and figures should be in accordance with the account's Amortization Schedule provided to me by the Bank, correct payee name, correct date, no alterations, etc.). I acknowledge that PDCs that contain erroneous entries and those with alterations even if countersigned by me are considered as defective.
- h. I acknowledge and agree to the following: (1) it is my responsibility to contact the Bank to regularize PDCs with incomplete information or replace PDCs with erasures and/or alterations immediately before they become due, (2) that the Bank will destroy PDCs with erasures and/or alterations regardless of whether they are replaced, and (3) I should settle over the counter the amounts covered by PDCs with incomplete information that are not regularized or replaced once they mature or once I default in my payment obligations.

In the event that I choose to pay via the Auto-Debit Arrangement, I understand and agree that:

- a. I undertake to sign the Auto-Debit Enrollment Form or any form as my Nominated Depository Bank may require to authorize the Auto-Debit Arrangement in relation to my UnionBank Personal Loan

account. I represent and warrant that my Nominated Deposit Account is solely under my name, ownership, and control, and is free from any lien or encumbrance;

- b. I authorize my Nominated Depository Bank to automatically debit from my Nominated Deposit Account the Total Amount Due on the relevant Payment Due Dates or when my Nominated Depository Bank receives the billing report from the Bank, and remit the said amount to the Bank.
- c. on the first billing of each Loan, all fees charged due to the availment of loan, such as the the initial interest, Disbursement Fee and DST (if applicable), will be debited from my Nominated Deposit Account. I may refer to the table of fees and charges in the Application Form for reference;
- d. the amount debited from my Nominated Deposit Account will be applied as payment following the Application of Payments section of this UnionBank Personal Loan Terms and Conditions. I undertake to ensure that my Nominated Deposit Account will be sufficiently funded on the Payment Due Dates as stated on my SOA or my Disclosure Statement, whichever is earlier. My Nominated Depository Bank will not debit from my Nominated Deposit Account if the amount available in such account is less than the Total Amount Due. As a result, my account may become delinquent or in default;
- e. if I fail to make a payment on the relevant Payment Due Dates as a result of insufficient funding or any issue arising from the Auto-Debit Arrangement with no fault or gross negligence on the part of the Bank, I will be liable to pay the applicable Monthly Interest and Late Charges on the Overdue Amount.

I undertake to pay the Total Amount Due, including the applicable Monthly Interest and Late Charges over the counter or via the Bank's payment centers at least five (5) banking days before the immediately succeeding Payment Due Date. Payments made over the counter or via the Bank's payment centers will be applied as payment following the Application of Payments section of this UnionBank Personal Loan Terms and Conditions. As such, partial payments will not necessarily be applied as payment for the Monthly Installment or any amount due nearest to the date when my Nominated Deposit Account was supposed to be debited, nor, in the case of multiple loans, to the specific outstanding Loan for which partial payment was made.

If I fail to pay over the counter or via the Bank's payment centers at least five (5) days before my immediately succeeding Payment Due Date, I shall fund my Nominated Deposit Account with an amount equivalent to the Total Amount Due, which includes the Overdue Amounts, Monthly Interest and Late Charges, and the billed Monthly Installment Amount Due on or before the immediately succeeding Payment Due Date. I authorize my Nominated Depository Bank to debit my Nominated Deposit Account with the said Total Amount Due on the succeeding Payment Due Date or upon receipt of the billing report from the Bank. My Nominated Depository Bank will not debit from my Nominated Deposit Account if the amount available in such account is less than the Total Amount Due. As a result, my account may continue to be delinquent or in default. If my Loan/s become/s due and demandable in full, I acknowledge and agree that I will automatically be de-enrolled from the Auto-Debit Arrangement. I shall settle all Outstanding Amount and applicable late fees and charges over the counter or via the Bank's payment centers;

- f. if I intend to terminate the Auto-Debit Arrangement with my Nominated Depository Bank or close my Nominated Deposit Account for any reason, I acknowledge and agree to the following: (1) I will advise the Bank about my intention within thirty (30) days prior to the effectivity date of the termination or closure, and (2) I will submit PDCs to be applied as Payment for the remaining tenor of my Loan/s within thirty (30) days prior to the next applicable Payment Due Date, and (3) if fail to submit the required PDCs, the Bank may, without notifying me, suspend or close cancel and revoke my right to use my UnionBank Personal Loan account, and my total outstanding balance will become due and demandable immediately.
- g. I acknowledge and agree to the following that: (1) it is my responsibility to contact the Bank to regularize the details of the Auto-Debit Enrollment Form for any incomplete information regarding my Nominated Deposit Account before any payment becomes due, (2) if I default in my payment obligations because I failed to complete the details of my Nominated Deposit Account or if I supply the Bank with incomplete information about my Nominated Deposit Account or if the Auto-Debit Enrollment Form is rejected by my Nominated Depository Bank, I should settle any amounts due,

including applicable late fees and charges, on the relevant Payment Due Date at any payment center of the Bank, and (3) if my enrollment for Auto-Debit Arrangement continues to be rejected, I will submit PDCs covering the remaining tenor of my Loan/s within thirty (30) days prior to the next applicable Payment Due Date, and the provisions of this Terms and Conditions on PDCs shall apply.

I understand and agree that if I pay more than the Total Amount Due, the excess amount will be credited as payment to any unbilled fees and charges, and any remaining excess payment will be credited against the Total Amount Due reflected on my next SOA. The Principal and Interest portions of my Monthly Installments will not be adjusted for any payment in excess of the Total Amount Due on a given statement. A sample computation on how payments are applied on my UnionBank Personal Loan account is illustrated below:

Monthly SOA is every fifteenth (15th) of the month
Monthly Installment Amount Due = Five Thousand Pesos (PhP5,000.00)
Total Amount Due on October 15 SOA = Five Thousand Pesos (PhP5,000.00)
Payment on October 30 = Fifteen Thousand Pesos (PhP15,000.00)
Applied payment = Five Thousand Pesos (PhP5,000.00)
Payment in excess of Total Amount Due = Ten Thousand Pesos (PhP10,000.00)
Total Amount Due on November 15 SOA = Seven Thousand Pesos (PhP7,000.00)
Applied payment = Seven Thousand Pesos (PhP7,000.00)
Payment in excess of Total Amount Due = Three Thousand Pesos (PhP3,000.00)

CHANGE IN CIRCUMSTANCES

I hereby agree that the sum outstanding and payable under the Loan Documents may be increased or decreased, without need of notice or demand, should there be a change in the prevailing cost of money at any given time, or there be any law, circular, rule or regulation enacted, issued or promulgated which has an upward or downward effect on the cost of funds to the Bank. In the event of an increase, I hereby agree to pay the differential which may be debited from my account, and if requested by the Bank, to execute replacement Loan Documents. Should there be a decrease, I agree that the differential, if any shall be applied and credited to my account.

I further agree that the sum herein stipulated shall likewise be subject to a proportionate upward adjustment in the event of an extraordinary decrease in the effective values of purchasing power of the Philippine Currency. A decrease at anytime of at least fifteen per cent (15%) in the effective value of the purchasing power of the Philippine Currency as determined by the Bangko Sentral ng Pilipinas (BSP) (or by other offices or agencies of the Philippine Government, should the figures of the BSP not be available) shall be regarded as an extraordinary decrease in the effective value of the purchasing power of the Philippine Currency.

I agree that if any of the conditions mentioned in the two preceding paragraphs should happen, the Bank shall make the necessary adjustments in the sum outstanding and payable under the Loan Documents, except for manifest error in the computation of the said adjustment. If there is a disagreement in the adjustment, I shall prepay or pre-terminate the obligation under the Loan Documents. I agree that in the event of prepayment of the amount due under the Loan Documents for any reason, I shall reimburse the Bank upon its demand for any and all expenses which the Bank may incur as a result of or in connection with such prepayment.

PREPAYMENT AND OVERPAYMENT

I may, upon prior notice to the Bank, prepay the outstanding principal of my loan, together with accrued interest thereon from the posting date of the last Monthly Installment Amount to the date of prepayment and Closure Handling Fee, without any penalty. I hereby agree that the outstanding balance of my loan shall be

determined using the ACR. As a condition for such prepayment, I shall pay all outstanding amounts due in respect of my UnionBank Personal Loan account, including, but not limited to, outstanding amounts for principal, accrued interest, Closure Handling Fee, Late Charge, Returned Check Fee and other fees and charges hereunder and reimburse the Bank upon its demand for any and all expenses which the Bank may incur as a result of or in connection with such prepayment.

I hereby agree that any unpaid dues in connection with such prepayment are still subject to Late Charge and delinquency ageing, as long as my loan remains outstanding.

I understand that I may request to refund any overpayment by calling UnionBank Customer Service. I hereby agree that the Bank may deduct from the proceeds of the amount due to me any and all expenses it will incur in connection with processing such refund.

CREDIT BALANCE

UnionBank Personal Loan is not designed or intended to store funds and have a credit balance, whether due to overpayment or for any other reason. A UnionBank Personal Loan account has a credit balance where the payments made to, or the credits reflected on the account exceeds the total unpaid balance. A credit balance will not earn interest.

I agree not to make a payment which would cause my UnionBank Personal Loan account to reflect a credit balance.

If the credit balance on my UnionBank Personal Loan account exceeds the threshold amount set by UnionBank policies, applicable laws and regulations, including the US Foreign Account Tax Compliance Act (FATCA), the Bank will notify me and return the entire credit balance amount.

The turnaround time for the return and the amount of credit balance to be returned shall be in accordance with UnionBank processes and the provisions of applicable laws and regulations, including the FATCA.

The Bank will return the credit balance to my deposit account at UnionBank, which is solely under my name, or through a Manager's check issued in my name that will be delivered to my registered address in their records.

INTEREST AND CHARGES ON MY UNIONBANK PERSONAL LOAN

A. I understand that:

- i. I shall pay the interest component of my Monthly Installment Amount Due.
- ii. I agree that charging of my Approved Loan Amount is deferred for the first Statement of Account, and I acknowledge that I will pay an initial interest in consideration of the longer payment period provided to repay the Approved Loan Amount. The Monthly Installments Due will be reflected on the second and succeeding Statements of Account after the approval date.
- iii. The initial interest is computed based on the actual number of days from the approval date of my Approved Loan Amount to my first statement date after the said approval date. It will be charged on my first Statement of Account issued following the approval date. The initial interest is calculated by multiplying (i) the Approved Loan Amount, (ii) the applicable monthly Effective Interest Rate (EIR) and (iii) the number of days from the approval date to the first statement date; and dividing the total by thirty (30) days.
- iv. I shall also pay interest, which shall accrue daily at the prevailing Interest Rate for UnionBank Personal Loan accounts and for any additional credit that the Bank may grant based on a three hundred sixty (360)-day year on the end-of-day outstanding debit balance each day, from the Transaction Date until the date when full payment of the UnionBank Personal Loan outstanding balance is received by the Bank. Such interest shall be compounded monthly and the Bank

shall be entitled, at its reasonable discretion, to vary the Minimum Amount Due at any time and from time to time with reasonable notice and the same shall be conclusive and binding on me. The interest will continue to accrue until full payment for the interest billed plus accrued interest has been paid off. The interest which has accrued up to the date of the UnionBank Personal Loan statement shall be specified in the UnionBank Personal Loan statement. Fees associated with the loan are posted as such and must be settled through over the counter payment. Non-payment of the billed fees and charges before the Payment Due Date will be subject to the Interest Rate as above specified.

- v. If the minimum payment specified in any earlier UnionBank Personal Loan statement or such part of the UnionBank Personal Loan outstanding balance shown in such UnionBank Personal Loan statement or in any other statement issued by the Bank relating to the additional credit granted to me is not received by the Bank in full on or before the Payment Due Date specified in such statement or otherwise notified to the Bank, as the case may be, I shall pay Late Charge determined by the Bank and notified by the Bank to me from time to time.
 - vi. In case I missed to pay the Minimum Amount Due on the Payment Due Date stated in my UnionBank Personal Loan SOA for three (3) consecutive months, my UnionBank Personal Loan account will be considered in default and the unbilled principal component of the Total Loan Amount of my outstanding loan/s will be billed in full on my next SOA. I understand that the billed in full amount will be subject to the prevailing Interest Rate for UnionBank Personal Loan accounts together with the unpaid billed fees and charges, which I shall be liable to pay in full. I also understand that non-payment of the remaining billed unpaid Monthly Installment Amounts Due on the Payment Due Date stated in my SOA after my outstanding loan/s were billed in full will start incurring interest at the prevailing Interest Rate for UnionBank Personal Loan accounts on the billed unpaid principal component of such remaining unpaid Monthly Installment Amounts Due. Such interest shall be compounded monthly.
 - vii. I authorize the Bank to contact me (using the details I provided in the UnionBank Personal Loan Application Form or advised by me over the phone) at any time via the telephone, electronic mail or by SMS provided by telecommunications providers, or such other means, to inform me of any matter relating to my UnionBank Personal Loan account including informing me that my UnionBank Personal Loan outstanding balance is past the relevant Payment Due Date.
- B. I shall be liable to pay a service charge or administrative fee, for any service provided by the Bank (including without limitation, maintaining my inactive UnionBank Personal Loan account or sending me copies of past UnionBank Personal Loan statements) or any action taken by the Bank in carrying out any instructions or requests received from me relating to the operation of my UnionBank Personal Loan account, whether such services or actions are referred to or contemplated in these Terms and Conditions or otherwise;
- C. I understand that the Bank shall be entitled, in its reasonable discretion, to vary or determine, from time to time, the amounts, rates, types and/ or basis of calculation of all interest, fees and charges payable by me with reasonable notice and the same may be debited from my UnionBank Personal Loan account or shall be payable by me upon demand or at such time as the Bank may deem fit. For the avoidance of doubt and without limiting the foregoing, I agree that the Bank shall be entitled to increase the Interest Rate on my UnionBank Personal Loan account, at such times, for such periods and to such rates as the Bank deems fit with reasonable notice to me.

STATEMENTS OF ACCOUNT

I understand that I will be receiving a SOA monthly. In such instances, the Bank shall deliver each Month to the mailing or email address specified by me in the Application Form, a SOA which will specify the Payment Due Date, the Total Amount Due, the Minimum Amount Due, the Monthly Installment Amount Due and all other amounts due for the month and number of remaining unbilled installments, together with all other relevant details of my UnionBank Personal Loan account. I understand that any payment I make on

my UnionBank Personal Loan account shall be applied to any outstanding billed items in accordance with the section on Application of Payments even before the Payment Due Date.

In the event of an error appearing in the SOA, I agree to immediately notify the Bank in writing of said error. If no error is reported within thirty (30) days from the date of the SOA, I agree and confirm that the SOA is true and correct and that I am therefore liable to pay the amount stated therein as the "Total Amount Due This Month". I agree that, notwithstanding anything to the contrary herein, non-receipt of the SOA prior to the relevant monthly Payment Due Date shall not relieve me of my obligation to pay the Monthly Installment Amount Due and all other amounts due on such date.

If I notify the Bank of an error in the SOA within the period prescribed above, I shall not be liable to pay the disputed amount while the Bank is investigating the same, but I am liable to pay such undisputed portion of the "Total Amount Due this Month" on or before the Payment Due Date stated in such SOA. If, after investigation, the Bank acknowledges the error in the SOA, I shall not be liable to pay the Interest Charge and other fees related to the disputed amount only. Otherwise, I am liable to pay the disputed amount as well as all the corresponding Interest Charge and other fees due.

In reporting such error, all my written communications, requests or reports with regard thereto must be personally delivered or sent by registered mail to the Bank, and should contain the following information:

- a. my name and Account Number;
- b. amount of the error, if any;
- c. a description of the error claimed to have been made; and
- d. my signature.

I agree that, in the absence of manifest error, the records of the Bank shall be conclusive evidence of all amounts due from me under the Loan Documents.

ACCEPTANCE OF PAYMENT

I understand that checks used for payment will be posted to my account only upon collection as per usual clearing schedules for local and outstanding credits, net of charges from the Bank and the drawee bank.

Acceptance by the Bank of any Payments made after the Payment Due Date shall not be construed as extending the Payment Due Date or as modification of any of the conditions of any of the Loan Documents.

Any and all Payments (including pre-payments) on my UnionBank Personal Loan Account, whether in the form of cash I made over the counter or via electronic transfer or via Auto-Debit Arrangement or PDCs I submitted as payment to my outstanding loan/s, shall be applied to the following items in the order they are listed:

- i. Billed and past due Monthly Interest Charge on unpaid principal component of past due Monthly Installment Amounts
- ii. Interest component of billed and past due Monthly Installment Amounts Due
- iii. Principal component of billed and past due Monthly Installment Amounts Due
- iv. Billed and past due DST
- v. Monthly Interest Charge on unpaid interest, fees and charges
- vi. Billed and past due fees or service charges (e.g. Disbursement Fee and Closure Handling Fee)
- vii. Billed and past due Monthly Late Charge
- viii. Billed and past due Returned Check Fees
- ix. Billed and past due credit insurance charges (if any)
- x. Billed in full principal component of my loan/s (if any)

In case the account reaches one hundred eighty (180) days past due, any and all Payments shall be applied to the following items in the order they are listed:

- i. Principal component of billed and past due Monthly Installment Amounts Due
- ii. Billed and past due Monthly Interest Charge on unpaid principal component of past due Monthly Installment Amounts
- iii. Interest component of billed and past due Monthly Installment Amounts Due
- iv. Billed and past due DST
- v. Monthly Interest Charge on unpaid interest, fees and charges
- vi. Billed and past due fees or service charges (e.g. Disbursement Fee and Closure Handling Fee)
- vii. Billed and past due Monthly Late Charge
- viii. Billed and past due Returned Check Fees
- ix. Billed and past due credit insurance charges (if any)
- x. Billed in full principal component of my loan/s (if any)

LOAN AMORTIZATION CALCULATION

I understand that the computation of my loan amortization shall be on diminishing balance basis, under which the allocation of Payments to principal and interest components of my Monthly Installment Amounts Due over the Loan Period is not equal.

I also understand that the charging of my Approved Loan Amount is deferred for the first Statement of Account, and I acknowledge that I will pay an initial interest in consideration of the longer payment period provided to repay the Approved Loan Amount. The Monthly Installments Due will be reflected on the second and succeeding Statements of Account after the approval date.

The initial interest is computed based on the actual number of days from the approval date of my Approved Loan Amount to my first statement date after the said approval date. It will be charged on my first Statement of Account issued following the approval date. The initial interest is calculated by multiplying (i) the Approved Loan Amount, (ii) the applicable monthly Effective Interest Rate (EIR) and (iii) the number of days from the approval date to the first statement date; and dividing the total by thirty (30) days.

A sample calculation is illustrated below:

- Approved Loan Amount: Sixty-Five Thousand Pesos (Php65,000)
- Loan Period: Twelve (12) months
- Annual Contractual Rate: Twenty-Nine 9/100 per cent (29.9%)
- Effective Annual Interest Rate: Thirty-Eight 98/100 per cent (40.19%)
- Loan Period Commencement Date: March 24, 2023
- Next Statement Date: April 12, 2023

The Annual Contractual Rate is the interest charged on my loan based on a three hundred sixty (360)-day period.

The formula for computing the Effective Annual Interest Rate is:

$$\text{Effective Annual Interest Rate} = ((1 + \text{IRR}(\text{Cash Flow}))^{12}) - 1$$

Installment	Approved Loan Amount	Principal	Interest	Other Bank Charges*	Monthly Installment Amount Due	Cash Flow	Outstanding Principal Balance
	65,000.00					65,000.00	65,000.00
0			1,025.74	2,237.50		-3,263.24	65,000.00

1		4,713.88	1,619.58		6,333.47	-6,333.47	60,286.12
2		4,831.34	1,502.13		6,333.47	-6,333.47	55,454.78
3		4,951.72	1,381.75		6,333.47	-6,333.47	50,503.06
4		5,075.10	1,258.37		6,333.47	-6,333.47	45,427.96
5		5,201.55	1,131.91		6,333.47	-6,333.47	40,226.41
6		5,331.16	1,002.31		6,333.47	-6,333.47	34,895.25
7		5,463.99	869.47		6,333.47	-6,333.47	29,431.26
8		5,600.14	733.33		6,333.47	-6,333.47	23,831.12
9		5,739.67	593.79		6,333.47	-6,333.47	18,091.45
10		5,882.69	450.78		6,333.47	-6,333.47	12,208.76
11		6,029.26	304.20		6,333.47	-6,333.47	6,179.49
12		6,179.49	153.97		6,333.47	-6,333.47	0.00

TAXES, EXPENSES, FEES AND CHARGES

I agree that any and all taxes which may be due and payable on account of or with respect to my UnionBank Personal Loan account, as well as any processing or other fees charged by the Bank, shall be borne by me and will be for my sole account. I agree to shoulder any and all fees charged by the bank to which I have instructed the Bank to transfer the proceeds of the loan/s I availed on my UnionBank Personal Loan account in connection with the disbursement of such loan/s I availed through electronic transfer of funds. In the event that I pay any amount due under my UnionBank Personal Loan account by way of a check and such check is returned or dishonored by the drawee bank, I shall pay the Bank a Returned Check Fee in an amount communicated to me in my SOA. I further agree to pay such other fees and charges in connection with the loan/s I availed on my UnionBank Personal Loan account that may be imposed by the Bank at its option and communicated to me in my Statements of Account. I agree that the amount of the said fees may be revised from time to time, as the Bank may deem necessary.

WARRANTIES AND COVENANTS

I hereby warrant that my UnionBank Personal Loan may be used only for the purpose set forth in my Application Form and/or in the Disclosure Statement.

I hereby further warrant that I shall not use the loan/s I availed on my UnionBank Personal Loan account or any portion thereof to pay any other monies owed by me to the Bank or its affiliates.

I understand that the Bank prohibits the use of proceeds from unsecured credit facilities or loans for investment into UnionBank wealth management products. I hereby confirm that if approved, the proceeds from my UnionBank Personal Loan account will not be used for subscription into UnionBank -offered wealth management and insurance products. In the event that the proceeds have been used for these purposes, the Bank shall be entitled to do all acts and things necessary to comply with the Bank's policies, including

but not limited to liquidating my holdings of investments/insurance at that time. I agree to bear all costs and expenses that the Bank may incur as a result.

I agree that in the case of default or breach in any contract or evidence of indebtedness to one or more UnionBank Card account/s, UnionBank Personal Loan account or other credit facilities issued by the Bank, subsidiaries and affiliates, the Bank may cancel my UnionBank Card/s, UnionBank Personal Loan, and other credit facilities, without giving me any notice.

I shall be obliged to pay the Bank (which I agree to pay as evidenced by my receiving the proceeds of the loan/s I availed on my UnionBank Personal Loan account) the following amounts: (i) my Total Loan Amount, and (ii) all other amounts (including taxes and other fees, expenses and charges debited or applied by the Bank) payable under the Loan Documents.

I hereby agree to submit to the Bank a photocopy of all pages of my latest Income Tax Return or any legally acceptable equivalent in lieu thereof every year for so long as my UnionBank Personal Loan account is active or any portion thereof remains outstanding. I acknowledge that the Bank has agreed to enter into the Loan Documents in reliance upon my representations and warranties contained in the Loan Documents.

DEFAULT

Default – I shall be considered in default in my UnionBank Personal Loan account in the event that:

- a. I default in payment of any amount due on any due date under the Loan Documents and SOA of my UnionBank Personal Loan;
- b. Any representation or warranty made by me in connection with the Loan Documents proves to have been incorrect or misleading in any material respect;
- c. The Bank believes, on reasonable grounds, that it was induced by fraudulent misrepresentation to grant the UnionBank Personal Loan account or credit facility in my favor;
- d. My outstanding availment and the fees and charges exceeds my Credit Limit;
- e. I am in default under or fail to observe any of the terms and conditions of any contract or evidence of indebtedness and/or other related documents which I executed or were otherwise issued by the Bank in connection with any credit and loan facilities granted by the Bank or its subsidiaries or affiliates or another financial institution or other lender in my favor;
- f. I violate any of the terms and conditions of any contract with any bank or other persons, corporations, entities, for the payment of borrowed money or any other events of default occur under such contract;
- g. I apply for voluntary or involuntary relief under any bankruptcy or insolvency law;
- h. Any person by legal process, whether by way of garnishment, attachment, seizure, execution or some other means, attempts to take my money or any of my properties, real or personal;
- i. I fail to observe any of the terms and conditions governing UnionBank, UnionBank Personal Loan, UnionBank Online, UnionBank Electronic Statement, and UnionBank Customer Service, or their successor facility, platforms and programs;
- j. Any situation occurs which, in the opinion of the Bank, gives reasonable grounds to believe that my financial condition or my ability to perform my obligations under the Loan Documents has been or will be materially or adversely affected.
- k. I am charged with, convicted of or under investigation by competent government authority for violation of Republic Act No. 8484 (Access Devices Regulation Act of 1998) or other laws or regulations relating to bank transactions or the Bank has prima facie evidence to charge me with a violation of any of the provisions of such laws or regulations.

CONSEQUENCES OF DEFAULT

In case of default in any of my obligations on one or more of the Bank's credit facilities or any of my credit facilities with another bank, credit card company, or financial institution as reported in or by the credit bureau or institution or credit information service provider, banks, credit card company or financial institution, the Bank may, at its sole option or discretion and without need of further notice, cancel my UnionBank Personal Loan account and/or other credit facilities or revoke my right to use all or any of my credit facilities with the Bank, and declare the Total Amount Due under the UnionBank Personal Loan account to be forthwith due and demandable, whereupon the same shall become immediately due and payable, without presentment, demand, protest or further notice of any kind, all of which I am expressly waiving. The amount certified by the Bank as the amount outstanding shall be prima facie evidence of the amount due from me as of the date thereof.

I shall also be liable to pay interest and Late Charge as applicable. Once I exceed my Credit Limit or fail to pay any amount due or the Minimum Amount Due on a Payment Due Date, my UnionBank Personal Loan account will be considered "delinquent". In the event of any future delinquency, I authorize the Bank to report and/or include my name in the negative listings of any credit bureau or institution, credit information service provider or other banks, credit card companies or financial institutions.

OTHER CONSEQUENCES OF DEFAULT

If any Monthly Installment Amounts Due are not fully paid on Payment Due Date, the unpaid amount shall be subject to the Late Charge of six per cent (6%) of outstanding due or Five Hundred Pesos (Php500) per month, whichever is higher, to be computed from Payment Due Date until full payment of the obligation.

In addition to Late and Interest Charges, if my account is referred to a collection service provider and/or a lawyer, I agree to pay the cost of collection, attorney's fees, and other litigation expenses, based on my Total Amount Due.

Without prejudice to the right of the Bank to file the appropriate legal proceedings (including the remedy of attachment or garnishment, whenever applicable), I agree to pay a Returned Check Fee, in addition to any charges which my drawee bank shall impose, in the event that any check payment hereunder shall be dishonored or returned unpaid for any reason whatsoever.

The right of the Bank to collect the foregoing fees shall be without prejudice to its right to accelerate the maturity of the loan and require the payment of all amounts outstanding under the UnionBank Personal Loan account for my failure to pay any Minimum Amount Due hereunder.

I likewise agree that in case of default hereunder, the Bank may appoint or designate a representative, agent or attorney-in-fact, including third party collection agency, to perform any and all acts which may be required or necessary to enforce its rights under the UnionBank Personal Loan and any security given thereon. In the event that the Bank shall refer my UnionBank Personal Loan account to a collection agency or shall transfer my said account from one collection agency to another, I understand that the Bank shall provide me with written notification at least seven (7) days prior to the actual endorsement of my said account to a collection agency or from one collection agency to another. Such notification shall include the full name of the collection agency and its contact details. For such purposes, I hereby give my consent to the disclosure of all relevant information in connection with my UnionBank Personal Loan account to such authorized representative, agent or attorney-in-fact, and I agree to hold the Bank free and harmless against any and all damage, cost or liability to me arising from such disclosure. In case of default, the Bank may take any action or file any appropriate legal proceedings (including the remedy of attachment or garnishment, whenever applicable) against me, in accordance with Philippine laws, in order to take claim, repossess or recover the property or properties purchased or financed by the proceeds of the loan/s I availed on my UnionBank Personal Loan account, or any of my properties, real or personal, in payment of all or part of my outstanding obligations under the UnionBank Personal Loan.

RIGHT TO OFFSET

I agree that upon my default or delinquency, the Bank may, as my attorney-in- fact, in its absolute discretion without notice to me, offset my obligations (including but not limited to monthly payments due, fixed and determinable taxes or charges due from or assumed by me on said interest or other income) against any of my deposits, money market/trust placements, stocks, bonds and other assets coming to the Bank's possession or control or its affiliates. I hereby consent, authorize and irrevocably constitute the Bank as my attorney-in-fact with full power and authority to inquire about and to assert their lien or legal claim on my deposits, money market/trust placements, stocks, bonds and/or other assets in the possession, custody or control of the Bank and affiliates and to apply all or part of the deposit, money market/ trust placements, stocks, bonds and/or assets to offset my corresponding obligations. Pursuant to the authority granted to the Bank herein, I expressly authorize the disclosure by/of the Bank's affiliates of any information relative to my funds or properties in their custody in favor of the Bank.

SALES OF STOCKS AND OTHER PROPERTIES

Upon my default or delinquency, I hereby irrevocably constitute the Bank as my attorney-in-fact with full power for me, in my name and in my behalf, without need of prior notice, to:

- a. negotiate, sell and transfer any stocks, securities, bonds, personal properties or real estates which the Bank or its affiliates, may be in possession of, by public or private sale and to apply the proceeds of such sale or disposition in the payment of my indebtedness under my UnionBank Personal Loan account; and
- b. do all acts and deeds in addition to and other than those herein granted. I hereby ratify and confirm all acts and deeds as may be done or performed by the Bank under this authority.

DEACTIVATION OF CREDIT FACILITY

Upon my default or delinquency, I understand that if I have other credit facilities with the Bank including credit facilities with the Bank's affiliates (e.g. loan accounts, credit cards including supplements, and other credit facilities), these accounts shall be blocked or deactivated from further use even if these accounts are in good credit standing.

LIMITATION OF LIABILITY

I agree that the Bank's liability under this agreement, if any, shall not exceed Three Thousand Pesos (PhP3,000.00); provided that, in any action arising from this agreement or any incident thereto which I or any other party may file against the Bank, in no event shall the maximum liability of the Bank exceed Thirty Thousand Pesos (PhP30,000.00), except when the Bank is found to be guilty of willful misconduct.

WITHHOLDING, BLOCKING AND PREVENTION OF PERFORMANCE

If you are a U.S. person, you will identify yourself as one, provide your U.S. taxpayer identification number and other pertinent information as provided in the applicable Internal Revenue Service (IRS) forms such as W-8 and W-9, and comply with documentation requirements per U.S. regulations. You declare under penalties of perjury that:

- i. The U.S. tax identification number you indicate is true and correct; and
- ii. You agree to waive any bank secrecy, privacy or data protection rights related to your Accounts.

By opening an Account, you consent to and authorize the use by the Bank of the information you provide so that the Bank may comply with applicable foreign laws including but not limited to the Foreign Account Tax Compliance Act (FATCA). You agree and accept that, as a Philippine financial institution (PFI), the Bank's sole obligation under the FATCA is to report your Accounts to the IRS as soon as the implementing rules and regulations are in effect and the mechanism to report is already available to the Bank. The Bank is not required to, and will not withhold any amount due to the IRS nor provide any completed IRS forms on your foreign financial asset reporting.

The Bank will not be responsible for any failure to perform any of its obligations with respect to any product or service offered here if such performance would result in a breach of any Government Requirement or if its performance is prevented, hindered or delayed by a Force Majeure Event. In such case the Bank's obligations will be suspended for so long as the Force Majeure Event continues (and, in the case of the Bank, no other branch or affiliate shall become liable). The Bank will not be responsible for any action taken to comply with economic sanctions or Government Requirement (and no other branch or affiliate shall become liable). "Force Majeure Event" means any event due to any cause beyond the Bank's control, such as restrictions on convertibility or transferability, requisitions, involuntary transfers, unavailability of any communication, clearing or payment system, sabotage, fire, flood, explosion, acts of God, economic sanctions, Government Requirements, civil commotion, strikes or industrial action of any kind, riots, insurrection, war or acts of government or similar institutions.

COMMUNICATIONS AND RECORDING

Telephone Communications

By contacting UnionBank Customer Service, by providing my phone numbers to the Bank, and by calling or accepting calls from the Bank or its service providers in connection with my UnionBank Personal Loan account, I authorize the Bank and its service providers to record, store, replay, and share with any third party all conversations with me and/or on my phone numbers/lines, including calls with the Bank's service providers and with any person who may answer the phone on my behalf. I agree that these records may be used by the Bank or its service providers for any lawful purpose, particularly as evidence in any proceeding, judicial or administrative. I am responsible for informing any person who may answer the phone on my behalf, as my representative, that the Bank and its service providers shall record, replay and use the calls with him or her and that this is being done with my authorization.

I agree that the Bank and its service providers are not liable for any loss, damage or expense that results from the Bank's or its service providers' actions on any telephone instructions or communications made after the Bank or any of its service providers has verified my identity either through my Telephone PIN (TPIN) or through the Bank's or its service providers' verification process. I shall indemnify the Bank and its service providers against any loss, damage, cost and fees that they may suffer arising from them so acting

Electronic Message

I agree that the Bank may communicate with me through SMS, email, social media and instant messaging applications, or any other means of communication, for prompts, reminders and notices concerning my UnionBank Personal Loan account ("Electronic Message"). Electronic Messages are sent to me for convenience, information, notification or demand purposes. The Bank does not guarantee the timely delivery or accuracy of an Electronic Message; it may not be current at the time of delivery due to delivery lag time. I agree that each Electronic Message may be sent to me without being encrypted and may include my personal and UnionBank Personal Loan account information. It is my responsibility to ensure the security of my mobile phone, email account, and computer/electronic devices, and to inform the Bank of any changes to my mobile phone number and email address in a timely manner. I agree to hold the Bank free and harmless against any and all liability, administrative, civil or criminal, including those that relate to any secrecy laws or regulations, if any Electronic Message is viewed or accessed by any other person, as

well as against any liability resulting from my failure to update my mobile number or email address with the Bank, rendering it unable to send Electronic Messages to me.

CONSENT FOR PROCESSING, PROFILING AND SHARING OF DATA AND INFORMATION

I agree that by signing this document, my application, maintenance, or continued use of any of the Bank's products and services shall be my acceptance and agreement to be bound by the provisions of the Bank's Data Privacy Statement (DPS) found at <https://www.unionbankph.com/privacy-security>.

I agree to authorize the Bank to collect, use, and share Personal Data (as defined under the Data Privacy Law of 2012 and its implementing rules and regulations), customer data, and account or transaction information or records (collectively, the "Information") provided, and where permitted by law, to share it with: (i) Aboitiz Company, Inc.; (ii) Aboitiz Equity Ventures; and (iii) the Bank, including their respective subsidiaries and affiliates (collectively, the "Aboitiz Group") for cross-selling and for the following purposes: (a) purposes as set out in the DPS in force; (b) to identify and inform me of products and services provided by the Aboitiz Group that may be of interest to me; (c) for compliance to any law, regulations, government requirement, treaty, agreement, policy or as required by or for the purpose of any court legal process, examination, inquiry, audit, or investigation of any authority. This applies notwithstanding any non-disclosure agreement.

Pursuant to Republic Act 9510 otherwise known as "the Credit Information System Act" and its Implementing Rules and Regulations, I acknowledge that the Bank is mandated to submit or disclose my basic credit data to the Credit Information Corporation (CIC) as well as any updates or corrections thereof, and share said basic data with other lenders / financial institutions authorized by the CIC. I am aware that I may communicate directly with the Bank's Data Protection Officer by contacting dpo@unionbankph.com

NOTICES

Any statement, advice, confirmation, notice, demand and all other correspondence by the Bank under these Terms and Conditions may be served on me (or my personal representatives) personally or by sending it by pre-paid airmail or local mail or via facsimile or Email or SMS at the address or number specified by me in my Application Form or advised by me over the phone. Such statement, advice, confirmation, demand or other correspondence shall be deemed received, if sent by mail, on the seventh (7th) day after mailing, or, if sent by courier or personal delivery, on the day it was delivered or if by facsimile transmission, upon receipt of the written confirmation of the facsimile or if by Email or SMS, on the day it was sent. If sent by courier or personal delivery, the same shall be deemed delivered to me if received by any adult at the address specified by me in my Application Form who presents a valid identification card. If I wish to send any communication to the Bank, I should first contact UnionBank Customer Service.

CLIENT INFORMATION AND UPDATING

To help prevent money laundering and terrorist financing, Philippine laws and regulations, as well as internal policy, require the Bank to obtain, verify, and record information that identifies each person who opens an account with the Bank. This means that when I open an account with the Bank, the Bank will ask for my name, address, date of birth, and other information that will allow it to identify me. The Bank may also ask to see a photo ID or other identifying documents.

I understand that I must notify the Bank immediately of any change to my mailing address (residence and/or office), email address, and/or phone numbers (landline and/or mobile), and other relevant information to avoid delays or failure in the delivery of my SOA, Loan Disclosure Statement, Loan Proceeds via Manager's

Check Delivery, or other notices. I may notify the Bank of such changes through UnionBank Online (www.unionbankph.com), UnionBank Customer Service or by sending my contact information change request to P.O. Box 153, Manila Central Post Office, 1000 Manila (Attention: Asset Operations).

The Bank must be able to verify my preferred mailing and/or email address. If the Bank is unable to verify my preferred mailing and/or email address, the Bank may deliver my UnionBank Personal Loan proceeds and SOAs to any of the verified addresses on my Application Form.

The Bank shall not be responsible for any consequences that may arise due to my inability to receive any SOA or to pay my outstanding Loan Obligations as a result of my failure to notify the Bank in a timely manner of any change in my mailing or email address, or contact or other information.

I shall also provide the Bank with such information and documents as the Bank may require from time to time, and shall update that information as required by the Bank from time to time, to enable the Bank or any affiliate of the Bank to comply with any law or regulation or any Government Requirement.

It is my responsibility to notify the Bank of any change in my other information, such as civil status, citizenship, employment details and income. I agree to submit (i) my Income Tax Return, whether I am a salaried employee or self-employed; (ii) additionally my Audited Financial Statements if I am self-employed; (iii) Certificate of Employment if I am a salaried employee; and (iv) other documents (collectively "Income Documents") annually.

INDEMNITY

I will compensate the Bank for and hold the Bank harmless against any reasonably incurred losses, damage, liability, cost and expense which the Bank may incur or suffer (including legal costs) as a result of or in connection with my UnionBank Personal Loan account, the actual or attempted enforcement or protection of any of the Bank's rights and remedies against me, any change in any law, regulation or official directive which has an effect on the UnionBank Personal Loan account.

TERMINATION OF UNIONBANK PERSONAL LOAN ACCOUNT

- a. I understand that I may terminate my UnionBank Personal Loan account by ceasing to use all facilities and services relating to the UnionBank Personal Loan account, paying all UnionBank Personal Loan outstanding balance and such other sums owing to the Bank under the Loan Documents, and advising the Bank about my intention to terminate.
- b. The Bank may, without giving any reason or prior notice, suspend or cancel my UnionBank Personal Loan account. In case of default in my UnionBank Personal Loan account, the Bank may, without notifying me, cancel and revoke my right to use my UnionBank Personal Loan account, any UnionBank Card or other credit facilities with the Bank.

If the Bank determines that the UnionBank Personal Loan account has been or is being used for unacceptable transactions, the Bank may take any legal action in connection with my UnionBank Personal Loan account and/or loan availment, including the cancellation of my UnionBank Personal Loan account and the return of credit balances to the sender.

In any of the foregoing instances, the Bank shall declare the total outstanding balance, which includes any unposted transactions and unbilled Monthly Installment Amount Due, under any of my Cards and/or the total outstanding balance under my UnionBank Personal Loan account, to be

immediately due and demandable. I shall be liable to pay Interest and Late Charges, and other fees, as applicable.

- c. Upon termination of my UnionBank Personal Loan account for any reason, the Bank is not liable to me howsoever with respect to my UnionBank Personal Loan account.
- d. I acknowledge that my outstanding obligations and applicable provisions under the Loan Documents shall continue notwithstanding the termination of my UnionBank Personal Loan.

COOLING-OFF PERIOD

You may be entitled to a cooling-off period of at least two (2) banking days after availing the loan. During this cooling-off period, you have the option to cancel the loan availed by providing a notice of cancellation to the Bank. However, the Bank reserves the right to collect processing and administrative fees to cover expenses incurred, including applicable taxes, interest, and Total Outstanding Balance, if any.

WAIVER, CUMULATIVE RIGHTS

No failure or delay by the Bank in exercising any right or remedy accruing to it upon any default or delinquency by me under the Loan Documents shall impair any such right, power or remedy, nor shall it be construed as a waiver of any such default or delinquency thereafter occurring, nor shall a waiver of any single default or delinquency be deemed a waiver of any other default or delinquency theretofore or thereafter occurring, nor shall any single or partial exercise of any such right or power preclude any other or further exercise of any other right or power under the Loan Documents. All rights, powers or remedies, either under the Loan Documents or otherwise, afforded to the Bank shall be cumulative and not alternative and shall be in addition to and not in substitution for and in derogation of the rights, powers and remedies conferred by law. No notice to or demand upon me in any case shall entitle me to any other or further notice or demand in similar or other circumstances.

AGREEMENT TO BE BOUND

I unconditionally agree to be bound by any and all existing or future laws, regulations and official issuances governing the use of my UnionBank Personal Loan and all the services and facilities associated with the use of my UnionBank Personal Loan and all the services and facilities associated with UnionBank Personal Loan.

AMENDMENTS

The Bank may, at its sole option, make amendments to this Terms and Conditions, including the fees, charges, and terms, at any time and will notify me of these changes accordingly. My continued retention of my UnionBank Personal Loan account or use of the proceeds of a UnionBank Personal Loan after the Bank has given me notice of such changes means that I have accepted and agreed to the changes. If the amendments or changes are not acceptable to me, I understand that I may close my UnionBank Personal Loan account by calling UnionBank Customer Service at +63288418600. In case I close my UnionBank Personal Loan account for any reason, I understand and agree that my total outstanding balance will become due and demandable immediately; I must pay my total outstanding balance on or before the Payment Due Date of my next SOA. In this situation, my Minimum Amount Due on the SOA equals my Total Amount Due.

SEPARABILITY CLAUSE

If any of these provisions is considered illegal or unenforceable under any applicable law, such illegality or unenforceability shall not in any way affect the remaining provisions hereof.

GOVERNING LAW AND VENUE

The Loan Documents shall be governed by the laws of the Republic of the Philippines and the exclusive venue of all suits to enforce the Loan Documents is only in the proper courts of Pasig City and I hereby waive any other venue. The foregoing, however, shall not limit or be construed to limit the rights of the Bank to commence proceedings or obtain execution of judgment against me in any venue or jurisdiction where my assets may be found.

ASSIGNMENT BY THE BANK

I agree that the Bank may assign, discount or otherwise transfer part or all of its rights and/or obligations under the Loan Documents without need of prior notice to me. In the event of an assignment of the credit arising out of my UnionBank Personal Loan account, I hereby irrevocably agree not to assert set-off rights of any obligations which may be owed to me by the Bank against the assignee, even though such assignment of the credit may have been made without notice or consent on my part.

CONFIRMATION

I confirm that I have read, understood, and agreed to be bound by all the terms and conditions herein stated and those indicated in my Loan Documents and to future amendments thereto, and the terms and conditions that may be made available to me separately in connection with all the UnionBank products, programs, services, facilities and benefits associated with my UnionBank Personal Loan account, such as but not limited to the UnionBank Online, , and UnionBank Customer Service, which may or may not be explicitly defined or herein stated and to future amendments of any of the above, as evidenced by: (a) my signature on the Application Form, (b) my signature on the Loan Documents, and/or (c) the acknowledgment receipts and other records of the Bank or any other bank evidencing the receipt, deposit or encashment of the Manager's Check/s, the disbursement of cash, or the electronic transfer of the proceeds of the loan/s I availed on my UnionBank Personal Loan account to my specified account, as the case may be.

INCOME DOCUMENTS

I authorize the Bank to verify and obtain copies of all information and submitted documents from the Bureau of Internal Revenue (BIR) and other appropriate sources including my employer/s and/or my accountant/s ("Income Sources"). I also authorize each of the Income Sources to disclose any information relevant to the said verification and give copies of my Income Documents to the Bank. I waive any rights on the confidentiality of my income information as required by BSP Circular 622, as amended by BSP Circular 855. I understand that any falsification related to my application is sufficient ground for legal action and rejection of my application. I understand that if my application is denied, the Bank has no obligation to furnish the reason for such rejection.

ANTI-MONEY LAUNDERING AND COUNTER-TERRORISM

I undertake to fully comply with anti-money laundering and terrorism financing standards in accordance with existing anti-money laundering laws, rules, and regulations, appropriate to avoid any sanctionable practice, act of money laundering, or financing of terrorism. As a borrower, I am committed to taking appropriate steps to ensure that the proceeds provided under this loan are not used to aid, or otherwise support, terrorists or terrorist organizations. I agree that I shall use all reasonable efforts to ensure that the proceeds received from Personal Loans are not used to engage in, support, or promote violence, unlawful activity, terrorist activity, or related training of any kind and will take all appropriate precautions necessary to prevent any portion of the proceeds from being so used. In the event of any compliance incident, I shall respond promptly and in reasonable detail to any notice from the Bank and shall furnish documentary support for such response upon the Bank's request. I hereby agree to comply with any new or additional anti-money laundering laws or regulations.

Your needs and feedback are important to Us and if you have any questions or concerns, you may reach us through any of Our channels below. For our social media channels, a representative will get back to you within 24-48 hours from the time we receive your question or concern.

- Phone: for +63 2 8841 8600
- E-mail: customer.service@unionbankph.com
- Facebook Messenger: m.me/unionbankph
- Twitter: twitter.com/unionbankph

In the event that your concern requires an investigation, you agree to provide Us with all information We need, and consent to the use and processing of the information you provide, to enable Us to expediently address your query. You also allow the Bank to disclose information you may have provided to third parties, if necessary to address your concern.

Union Bank of the Philippines is regulated by the Bangko Sentral ng Pilipinas

<https://www.bsp.gov.ph>